

**GOVERNMENT OF PAKISTAN
FEDERAL BOARD OF REVENUE
(REVENUE DIVISION)**

**INCOME TAX MANUAL
PART II**

INCOME TAX RULES, 2002

**AMENDED UPTO
24TH NOVEMBER, 2023**

INCOME TAX RULES, 2002

ARRANGEMENT OF RULES

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CHAPTER - I

GOVERNMENT OF PAKISTAN

REVENUE DIVISION

¹[FEDERAL] BOARD OF REVENUE

Notification No. S.R.O. 428(1)/2002, Islamabad, the July 1, 2002.- In exercise of powers conferred by section 237 of the Income Tax Ordinance, 2001 (XLIV of 2001), the ²[Federal Board of Revenue] is pleased to make the following rules, namely-

INCOME TAX RULES, 2002

CHAPTER - I

1. Short title and commencement.-

- (1) These rules may be called the Income Tax Rules, 2002.
- (2) They extend to the whole of Pakistan.
- (3) They shall come into force on the first day of July, 2002; except rules 3 to 9 which shall be applicable in respect of income earned on or after first day of July, 2002, and other rules covered by the rule on "Saving".

2. Definitions.-

- (1) In these rules, unless there is anything repugnant in the subject or context,-
 - (a) ³["Federal Board of Revenue" means the Federal Board of Revenue, established under the Federal Board of Revenue Act, 2007;]

Note: Notification No. SRO.1102 (I)/91(Oct 5, 1991) - The reference "Board" wherever appearing in the Rules includes a reference to "Regional Commissioners of Tax" and "Commissioner of Tax", as the case may be.

- ¹[(aa) "Computerized Payment Receipt" means a computer generated receipt issued by the State Bank of Pakistan or the National Bank of Pakistan acknowledging payment of tax;

¹ The words "Central Board of Revenue" substituted by the Finance Act, 2007.

² The words "Central Board of Revenue" substituted by the Finance Act, 2007.

³ Substituted by the Finance Act, 2007. The substituted definition read as follows: "Central Board of Revenue" means the Central Board of Revenue, established under the Central Board of Revenue Act, 1924 (IV of 1924); "

CHAPTER - I

- (ab) "digital certificate" or "digital signatures" means a digital certificate or digital signatures issued by an agency approved by the ² Federal Board of Revenue to issue such certificate or signatures;
 - (ac) "e-intermediary" means a person registered as,-
 - (i) Chartered Accountant with the Institute of Chartered Accountants of Pakistan;
 - (ii) Cost and Management Accountant with the Institute of Cost and Management Accountants of Pakistan;
 - (iii) a legal practitioner entitled to practice in any Court in Pakistan;
 - (iv) a member of the Association of Chartered Certified Accountants, UK; or
 - (v) an Income Tax Practitioners, registered with Tax Bar affiliated with All Pakistan Tax Bar Association.]
 - (b) "electronic transmission" means a facsimile or electronic-mail transmission;
 - (c) "Ordinance" means Income Tax Ordinance, 2001 (XLIX of 2001), where however, context so provides, Income Tax Ordinance, 1979 (XXXI of 1979) till its relevance in a particular context; ³[]
 - (d) "section" means section of the Ordinance ⁴;⁵[]
 - ⁶[(e) "schedule" means a schedule to these rules ⁷;⁸ and]]
 - ⁸[(f) "transmission" means to transmit data through a computer network.]
- (2) All other expressions used but not defined in these rules shall have the meaning assigned to them under the Income Tax Ordinance, 2001.

¹ Clauses "(aa) to (ac)" inserted by SRO 516(I)/2006, dated June 01, 2006.

² The words "Central Board of Revenue" substituted by the Finance Act, 2007

³ Word "and" omitted by Notification No. SRO 651(I)/2004, dated July 30, 2004.

⁴ Substituted for full stop by Notification No. SRO 651(I)/2004, dated July 30, 2004.

⁵ Word "and" omitted by Notification No. SRO 516(I)/2006, dated June 01, 2006.

⁶ Clause "(e)" inserted by Notification No. SRO 651(I)/2004, dated July 30, 2004.

⁷ Substituted for full stop by Notification No. SRO 516(I)/2006, dated June 01, 2006.

⁸ Clause "(f)" inserted by Notification No. SRO 516(I)/2006, dated June 01, 2006.

CHAPTER - II

DETERMINATION OF INCOME - HEADS OF INCOME

¹[PART-I: SALARY

3. Valuation of perquisites, allowances and benefits.-

For the purposes of computing the income chargeable to tax under the head "salary", the value of all perquisites, allowances and benefits provided by the employer to the employee shall be included in the said income in accordance with the rules 4 to 7.

4. Valuation of accommodation.-

The value of accommodation provided by an employer to the employee shall be taken equal to the amount that would have been paid by the employer in case such accommodation was not provided.

Provided that the value taken for this purpose shall, in any case, not be less than forty five percent of the minimum of the time scale of the basic salary or the basic salary where there is no time scale. ²[:]

²[Provided further that where House Rent Allowance is admissible @ thirty percent, the value taken for the purpose of this rule shall be an amount not less than thirty percent of minimum of the time scale of basic salary or the basic salary where there is no time scale.]

5. Valuation of conveyance.-

The value of conveyance provided by the employer to the employee shall be taken equal to an amount as below:-

- | | | |
|------|---|--|
| (i) | Partly for personal and partly for official use | 5% of: |
| | (a) | the cost to the employer for acquiring the motor vehicle; or, |
| | (b) | the fair market value of the motor vehicle at the commencement of the lease, if the motor vehicle is taken on lease by the employer; |
| (ii) | For personal use only | 10% of: |
| | (a) | the cost to the employer for acquiring the |

1 Part I substituted by Notification No. SRO 668(I)/2006, dated June 27, 2006, earlier it was substituted by Notification No. SRO 609(I)/2002, dated September 10, 2002.

2 Proviso inserted and before it colon substituted for full stop by SRO 716(I)/2008, dated July 02, 2008.

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- motor vehicle; or,
(b) the fair market value of the motor vehicle at the commencement of the lease, if the motor vehicle is taken on lease by the employer; and

6. For the purpose of this part, "employee" includes a director of a company.

7. These rules shall be applicable for the salary income received after thirtieth of June, 2006.]

¹[]

²[]

1 Rule "8" omitted due to substitution of "Part-I" vide SRO 668(I)/2006, dated 27.06.2006.

2 Rule "9" omitted due to substitution of "Part-I" vide SRO 668(I)/2006, dated 27.06.2006

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PART-II : INCOME FROM BUSINESS

10. Entertainment expenditure.-

- (1) For the purpose of clause (d) of section 21, which provides for a limitation on the deduction of entertainment expenditure, and subject to sub-rule (2), a deduction for entertainment expenditure shall be limited to expenditure incurred by a person that satisfies the conditions laid down in sub-section (1) of section 20 and which is-
 - (a) expenditure incurred outside Pakistan on entertainment in connection with business transactions or where such expenditure is allocated as head office expenditure;
 - (b) expenditure incurred in Pakistan on entertainment of foreign customers and suppliers;
 - (c) expenditure incurred on entertainment of customers and clients at the person's business premises;
 - (d) expenditure incurred on entertainment at a meeting of shareholders, agents, directors or employees; or
 - (e) expenditure incurred on entertainment at the opening of branches.
- ¹[]
- (2) A person shall be allowed a deduction under sub-rule (1) only for expenditure incurred on the entertainment of persons related directly to the person's business.
- (3) In this rule, "entertainment" means the provision of meals, refreshments, and reasonable leisure facilities in accordance with the tradition of business and subject to overall norms and customs of business in Pakistan.

11. Agricultural produce as raw materials.-

- (1) This rule applies to a person who is a cultivator or receiver of agricultural produce as rent-in-kind and who uses agricultural produce raised or received as raw materials in a business the income from which is chargeable to tax under the head "Income from Business".
- (2) In determining the amount of income of a person to whom this section applies, the market value of any agricultural produce raised or received

¹ Clause "(f)" omitted by SRO 392(I)/2009, dated May 19, 2009.

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as rent-in-kind by the person and used as raw materials in the person's business shall be allowed as a deduction.

- (3) For the purposes of sub-rule (2), the market value of agricultural produce shall be-
 - (a) where the agricultural produce is ordinarily sold in the market in its raw state or after application of any process ordinarily employed by a cultivator or receiver of agricultural produce as rent-in-kind to render it fit to be taken to market, the market price for the produce at the time it is used as raw materials in the person's business; or
 - (b) in any other case, the sum of the following amounts, namely:-
 - (i) the expenses of cultivation; and
 - (ii) the land revenue rent paid for the area in which the produce is grown.
- (4) No deduction shall be allowed for any expenditure incurred by a person as cultivator or receiver of agricultural produce as rent-in-kind, other than as specified in sub-rule (2).

12. Particulars required to be furnished for claiming depreciation deduction or initial allowance amortization deduction.-

- (1) The following particulars shall be furnished by a taxpayer at the time of furnishing a return of income for any tax year in order to claim a depreciation deduction under section 22, an initial allowance under section 23 or an amortization deduction under section 24 read with the Third Schedule to the Ordinance, namely:-
 - (a) a description of each depreciable asset and intangible in respect of which a deduction is claimed;
 - (b) where a depreciable asset or intangible is used in the tax year only partly in deriving income from business chargeable to tax, the extent of such part use;
 - ¹[]
 - (d) if the depreciable asset or intangible was acquired in the tax year, the date of acquisition;
 - (e) the written down value of each depreciable asset at the beginning of the tax year computed in accordance with sub-section (5) of

¹ Clause "(c)" omitted by SRO 392(I)/2009, dated May 19, 2009.

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section 22 and the cost of each intangible as determined under sub-section (11) of section 24;

- (f) the amount of capital expenditure incurred in the tax year on additions, alterations, improvements or extensions in relation to any depreciable asset or intangible and where the depreciable or amortizable amount of such expenditure is limited under the Ordinance, the lower amount shall also be stated;
- (g) the total value of each depreciable asset for which a depreciation deduction is allowable for the tax year (this is the sum of the amounts specified in clauses (e) and (f), less any initial allowance allowed for the asset in that year;
- (h) the prescribed rate of depreciation and initial allowance (if any) for each depreciable asset or class of asset for the tax year, and the normal useful life for each intangible;
- (i) the amount of depreciation deduction and initial allowance (if any) for each depreciable asset for the year and the amount of amortization deduction for each intangible for the year;
- (j) the total depreciation deduction, initial allowance and amortization deduction allowed for the tax year; and
- (k) the written down value of each depreciable asset and the cost of intangible at the end of the tax year, and the remaining normal useful life.

Explanation: Addition to intangible to be separately shown.

- (2) The following particulars shall be furnished by a taxpayer at the time of furnishing a return of income for any tax year in which a depreciable asset or intangible is disposed of in the year, namely:-
 - (a) the consideration received for the asset or intangible;
 - (b) the written down value of the asset or intangible disposed of at the beginning of the tax year; and
 - (c) the excess or deficit of the consideration received in relation to the written down value (i.e., clause (b) less clause (a) or clause (a) less clause (b), as the case may be).

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¹[12A. Decommissioning certificate.-

As required under sub-rule (4A) of rule 2 of Part-I of Fifth Schedule to the Income Tax Ordinance, decommissioning certificate shall be submitted, as set out in Part-XA of the Second Schedule to these rules.]

13. Apportionment of expenditures ²[, deductions and allowances].-

- (1) This rule applies for the purposes of section 67, which provides for apportionment of expenditure ³[, deductions and allowances] incurred for more than one purposes.
- (2) Any expenditure ⁴[, deductions and allowances] that is incurred for a particular class or classes of income shall be allocated to that class or classes, as the case may be.
- ⁵[(3) (a) Any common expenditure excluding financial expenses relatable or attributable to non-business advances or loans and the amount referred to in sub-rule(2) relatable to business including presumptive and exempt income, shall be allocated to each class of income according to the following formula, namely:-

$$A \times B/C$$

where-

- A** is the amount of the expenditure incurred;
 - B** is the total amount of gross receipts (without deduction of expenditures) for the tax year for the class of income; and
 - C** is the total amount of gross receipts (without deduction of expenses ⁶[, deductions and allowances]) and net gains for the tax year of all classes of income;
- (b) Where, however, net gain, brokerage, commission and other income is to be taken into account on turnover of such transactions, such income shall be compared with gross profit from business for adopting figures for components "B" and "C" of the formula at (a) above ⁷[:]]

⁸[Explanation.- The terms gross receipt means net off receipts or turnover of Sales Tax or EFD paid.]

¹ Rule 12A inserted by SRO 357(I)/2011, dated May 04, 2011.

² Added by the S.R.O. 754(I)/2016 dated 15th August, 2016.

³ Inserted by the S.R.O. 754(I)/2016 dated 15th August, 2016.

⁴ Inserted by the S.R.O. 754(I)/2016 dated 15th August, 2016.

⁵ Sub-rule (3) substituted by SRO 392(I)/2009, dated May 19, 2009.

⁶ Inserted by the S.R.O. 754(I)/2016 dated 15th August, 2016.

⁷ The full stop substituted by SRO 1218(I)/2015 dated 08.12.2015.

⁸ Inserted by SRO 1218(I)/2015 dated 08.12.2015.

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- (4) Where expenditures ¹[, deductions and allowances] are to be allocated among different classes of income under sub-rule (3) consideration shall be given to the nature and source of each class of income, on reasonable basis to earn each class of income (particularly, in allocating selling expenses).
- (5) Where the allocation of expenditures ²[, deductions and allowances] is made in accordance with sub-rule (3) a certificate by the Chartered Accountants or Cost and Management Accountant stating the basis of allocation shall be accepted unless significant variations are found; and where books ³[of accounts] are not required to be audited, the reasonable basis based on the ⁴[sub-rules] (3) and (4) may be adopted which would be accepted by ³[the] Commissioner, unless variation is found. Significant variations would be beyond the limits of 10 ± in collection as in sub-rule (3) under any head of account.

⁵[(6)] In this rule.-

"class of income" means -

- (a) Pakistan-source income chargeable under the head "Salary";
- (b) foreign-source income chargeable under the head "Salary";
- (c) Pakistan-source income chargeable under the head "Income from Property";
- (d) foreign-source income chargeable under the head "Income from Property";
- (e) Pakistan-source income chargeable under the head "Income from Business" (other than income subject to section 19);
- (f) foreign-source income chargeable under the head "Income from Business" (other than income subject to section 19);
- (g) Pakistan-source income from a speculation business chargeable under the head "Income from Business";
- (h) foreign-source income from a speculation business chargeable under the head "Income from Business";
- (i) Pakistan-source income chargeable under the head "Capital Gains";

¹ Inserted by the S.R.O. 754(I)/2016 dated 15th August, 2016.

² Inserted by the S.R.O. 754(I)/2016 dated 15th August, 2016.

³ Inserted by SRO 392(I)/2009, dated May 19, 2009.

⁴ Substituted for "sub-rule" by SRO 392(I)/2009, dated May 19, 2009.

⁵ Substituted for "(8)" by SRO 392(I) 2009, dated May 19, 2009.

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- (j) foreign-source income chargeable under the head "Capital Gains";
- (k) Pakistan-source income chargeable under the head "Income from Other Sources";
- (l) foreign-source income chargeable under the head "Income from Other Sources";
- (m) income exempt from tax;
- (n) Chargeable to tax under section 5, 6 or 7; and
- (o) amounts to which section 169 applies ¹[] and "common expenditure" means expenditure ²[, deductions and allowances] that is not clearly allocable to any particular class or classes of income, such as general administrative and other such allocable expenditures ³[, deductions and allowances].

¹ Words etc. "except proceed realised from exports from which separate provision is made as sub-rule (8)" omitted by SRO 392(I)/2009, dated May 19, 2009.

² Inserted by the S.R.O. 754(I)/2016 dated 15th August, 2016.

³ Inserted by the S.R.O. 754(I)/2016 dated 15th August, 2016.

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¹[PART-III: COMPUTATION OF CAPITAL GAIN ON DISPOSAL OF SECURITIES UNDER SECTION 37A OF THE INCOME TAX ORDINANCE, 2001

13A. Acquisition of securities.-

- (1) A security may be acquired through purchase, exchange, bonus issue, right issue, gift, bequest, inheritance, leverage schemes and derivative contracts.
- (2) A security may be acquired in the electronic book entry form or in the form of physical certificate.
- (3) A security may be acquired through the trading platform provided by a stock exchange or through off market transactions.
- (4) In case of securities other than units of an open mutual fund, broker's bill for the purchase, broker generated computerized ledger statement of the investor's brokerage account, CDC statement of the investor's CDC sub account and payment of cost of acquisition through cheques shall be supportive evidence of acquisition of securities.
- (5) In case of units of an open end mutual fund, certified statement of investor's account provided by the asset management company shall be supportive evidence of acquisition of securities.

13B. Disposal of securities.-

- (1) A security may be disposed of through sale, gift, exchange or transfer by the security holder in any other way.
- (2) A security may be disposed of in the electronic book entry form or in the form of physical certificate.
- (3) A security may be disposed of through the trading platform provided by a stock exchange or through off market transactions.
- (4) In case of securities other than units of an open mutual fund, broker's sale proceeds or difference bill, broker generated computerized ledger statement of the investor's brokerage account, CDC statement of the investor's CDC sub-account and proof of payment through cheques shall be supportive evidence of disposal of securities.
- (5) In case of units of an open end mutual fund, certified statement of investor's account provided by the asset management company shall be supportive evidence of disposal of securities.

¹ Part III inserted by SRO 112(I)/2011, dated February 11, 2011.

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13C. Holding period.-

- (1) Securities held for a period upto a maximum of one eighty-two days and for a period upto maximum of three sixty-five days shall be taken as held for six months and one year respectively.
- (2) In case of short positions, holding period shall be the period intervening between the date when a security is sold short and the date when the security is purchased to cover the short position.
- (3) In case of futures contracts, holding period shall be the period intervening between the date of entry into a futures contract and the date of exit from such contract.

13D. Computation of capital gain or loss.-

- (1) Capital gain or loss arising on the disposal of any security shall be computed on the basis of First In First Out (FIFO) inventory accounting method.
- (2) Capital loss arising on disposal of securities in any tax year shall be set off against capital gain arising from the disposal of securities during that tax year to determine the taxable capital gain arising from the disposal of securities.
- ¹[(3) Capital loss arising on disposal of listed securities in tax year 2019 and onwards that has not been set off against the gain of the person from disposal of listed securities chargeable to tax during the tax year shall be carried forward to the following tax year and set off only against the gain of the person from disposal of listed securities chargeable to tax but no such loss shall be carried forward to more than three tax years immediately succeeding the tax year for which the loss was first determined;]

13E. Computation of capital gain or loss on derivatives. -

- (1) In case of long position in deliverable futures contracts, capital gain or loss shall be computed as the difference between cost of acquisition of securities underlying the futures contract and the consideration from disposal of those securities to close the long position at or before maturity of the contract.
- (2) In case of short position in deliverable futures contracts, capital gain or loss shall be computed as the difference between the consideration

¹ Sub-rule (3) substituted by S.R.O. 801(I)/2021 dated 24.06.2021 24.06.2021. Substituted sub-rule (3) read as follows:
“(3) Capital loss arising on disposal of securities in any tax year shall not be carried to a subsequent tax year.”

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from short sale of securities underlying the futures contract and the cost of acquisition to purchase those securities to close the short position on or before maturity of the contract.

- (3) In case of cash settled futures contracts, capital gain or loss shall be the cash payment which the investor respectively receives from or makes to the other party to such contract to settle the contract on or before maturity of the contract.
- (4) In case of options, capital gain or loss shall be the difference between exercise price of the options and the consideration from disposal of the securities underlying such options.
- (5) In case of contracts of right, capital gain or loss shall be the difference between cost of acquisition of right shares underlying the contract and the consideration from disposal of those shares.
- ¹[(6) Profit made on sale of borrowed shares shall be treated as capital gain when such shares are acquired for their return to Authorized Intermediary. Period intervening between acquisition and disposal of such borrowed shares shall determine the holding period in which the capital gain or loss falls. Specific Identification Method shall be used to determine the acquisition cost and consideration for disposal of such securities. The difference between cost of acquisition and consideration received against disposal (net off all borrowing costs) of such shares shall be treated as capital gain or loss. This rule shall be applicable to the securities borrowed in accordance with the Securities Lending and Borrowing Scheme approved by Securities and Exchange Commission of Pakistan.
- (7) Profit made on disposal of shares acquired under Margin Finance Scheme, Margin Trading Scheme or other Financing or Leverage schemes approved by Securities and Exchange Commission of Pakistan shall be treated as capital gain. The difference between cost of acquisition (inclusive of borrowing cost) and consideration received against disposal of such shares shall determine the quantum of capital gain or loss.]

13F. Capital loss adjustment disallowed in certain cases.-

- (1) Capital loss adjustment as provided in rules 13D and 13E shall not be admissible in the following cases, namely:-
 - ²[(a) **Wash Sales** where capital loss realized on sale of specific security by an investor in preceded or followed in one month's period by purchase of the same securities by the same investor

¹ Sub-rules (6) and (7) inserted by SRO 1149(I)/2011 dated December 27, 2011.

² Clause "(a)" substituted by SRO 1149(I)/2011, dated December 27, 2011.

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whereby the transaction falls within one month between same two parties or their related parties where one was seller and other was buyer and they change places becoming buyer and seller respectively, thus, maintaining the portfolio.];

Explanation.- Wash sale is sale of security at loss and repurchase of the same security soon before or afterwards the sale so as to realize an unrealized loss to make it claimable as a set off against capital gain. The security sold in a wash sale is repurchased with the aim to re-acquiring it at or near its sale value in order to maintain the risk return profile of portfolio;

- (b) **Cross Trades** where coordinated reshuffle of securities between two related accounts of the same investor. between two related accounts of the related investors between two membership cards of the same broker or between two related brokerage houses is undertaken and securities accumulating unrealized losses are sold to related accounts to artificially realize capital losses in one account without actually selling the securities to an outsider and the artificial losses so realized in an account are then used to minimize capital gain tax liability on the capital gain realized in the same account; and
- (d) **Tax Swap Sales** where the investor having realized loss (as in the case of a wash sale) on a particular security does not repurchase the same security but chooses another similar security in the same sector thus not only minimizing or eliminating altogether liability on account of tax on capital gain. but also maintaining the portfolio broadly at the same risk return profile.

13G. Exemption from tax on capital gain.-

Exemption shall be applicable as provided under the Ordinance.

13H. Payment of tax on capital gain.-

- (1) Every investor shall calculate tax on capital gain arising on securities ¹[] at the prescribed rates.
- (2) Every investor other than individual investor shall e-file statement of advance tax on capital gain on the prescribed format within ²[twenty one] days after the end of each quarter with the tax authority having jurisdiction in the case.

¹ The words and commas "held for a period upto six months, and above six months to one year, after the end of each tax year" omitted by the SRO 1145(I)/2016 dated 7th December, 2016.

² Substituted for "seven" by SRO 1149(I)/2011, dated December 27, 2011.

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- (3) The liability to pay the due tax on capital gain shall lie on the investor who held the securities during the period for which tax on capital gain is to be paid and, in case of any benami accounts, on the investor who de facto owns the securities carried in such accounts.

13I. Maintenance of records.-

- (1) Every investor shall maintain accounts and records separately for each of his brokerage accounts regarding his securities business which sufficiently enable for verification of the discharge of his obligations under these rules.
- (2) Without prejudice to the generality of the foregoing provision, every investor shall maintain in particular the following accounts and records, namely:-
- (a) fortnightly ledger statements of the investor's brokerage account or each brokerage account if there are more than one account whether in the investor's own name or any benami accounts, generated by his broker;
 - (b) fortnightly CDC statements of the investor's CDC sub account or each CDC sub account corresponding to each brokerage account, if there are more than one brokerage account whether held in the investor's own name or any benami accounts;
 - (c) record of security holdings and their value carried in the investor's brokerage account on 30th June of each year;
 - (d) record of cash carried in the investor's brokerage account as on 30th June of each year;
 - (e) record of funds deposited in the investor's brokerage account; and
 - (f) record of funds withdrawn from the investors brokerage account.

¹[13J. Exchange of information.-

Information regarding member, broker, investor of a stock exchange ²["members of PMEX, unit holders in mutual funds"] required by the ³Federal Board of Revenue shall be obtained directly from National Clearing Company of Pakistan Limited (NCCPL).]

¹ Rule 13J substituted by SRO 1149(I)/2011, dated December 27, 2011.

² The expression inserted by the SRO 1145(I)/2016 dated 7th December, 2016.

³ The words "Central Board of Revenue" substituted by the Finance Act, 2007

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13K. Violations and penalties.-

Any investor who, in discharge of his obligations under these rules, violates any provision of the rules shall be liable to penalty and other charges provided in the Ordinance.

13L. Definitions.-

(1) In this Part, unless the context otherwise requires,-

- (a) **borrowed security** means a security which an investor borrows under any security lending and borrowing scheme approved by the Securities and Exchange Commission of Pakistan, with an aim to returning the security to its lender, at any later date;
- (b) **capital gain** means the difference between consideration from disposal of a security and the price paid or would have been paid for acquisition of such security when former exceeds the later, provided that capital gain, in case of a borrowed security, means the difference between consideration received from short selling of the borrowed security and the price paid or payable to purchase it for its return to the lender of such security;
- (c) **capital loss** means the difference between cost of acquisition of a security and the consideration from disposal of that security when the former exceeds the later;
- (d) **cost of acquisition** of any security means the market price of the security which the investor pays or would have paid to purchase such security, provided that cost of acquisition,-
 - (i) ¹[in case of right share, means the discounted price at which the right shares are issued to a shareholder by the issuer including the cost of acquisition of letter of rights;]
 - (ii) in case of a security acquired through bequest or inheritance means the market price of security at which the deceased person making bequest or leaving the inheritance, as the case may be, paid or would have paid to purchase such security;

¹ Sub-clause (i) substituted by S.R.O. 1956(I)/2022 dated 24.10.2022. Substituted sub-clause (i) read as follows:
“(i) in case of a right share, means the discounted price at which the right shares are issued to a shareholders by the issue;”.

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¹ [²“(iii)”] in case of bonus shares:

- (i) shall be ex-bonus price if tax has already been paid under section 236M;
 - (ii) the value determined under section 236N, if tax is paid under section 236N; and
 - (iii) ³[shall be zero, in any other case.]
 - (iv) in case of initial public offering, the actual price paid to the issuer shall be treated as the cost of acquisition of such securities.]
- (e) **consideration from disposal** of any security means the market price of a security which the investor receives or would have received on the sale of that security;
- (f) **derivative products** means a financial product which derives its value from the underlying security or other asset, may be traded on a stock exchange of Pakistan and includes deliverable futures contracts, cash settled futures contracts, contracts of rights and options ⁴[and future commodity contracts traded at PMEX];
- (g) **date of acquisition** shall be determined as under, namely:-
- (i) in case of security in electronic book entry form, earlier of the dates on which the investor makes the purchase or otherwise gets title to the security and the security is transferred to the investor's brokerage account, CDC sub account or the concerned broker's or stock exchange's member's CDC Group Account;
 - (ii) in case of any security in the physical certificate form, earlier of the dates on which selling broker or stock exchange's member sells the security, the date on which an investor acquires physical possession of the security, the date on which investor's name is entered on the security or the date on which the issuing company enters the investor's name in the record of its security holders;

¹ Clause “(d)(iii)” substituted by SRO 161(I)/2015, dated February 23, 2015.

² The letter “(d)” re-numbered by SRO 1218(I)/2015 dated 08.12.2015.

³ Paragraph (iii) substituted by S.R.O. 1956(I)/2022 dated 24.10.2022. Substituted paragraph (iii) read as follows:

“(iii) shall be zero, if no tax is paid under section 236M and 236N.”

⁴ The words added by the SRO 1145(I)/2016 dated 7th December, 2016.

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- (iii) in case of acquisition of a security on account of a nomination under section 80 of the Companies Ordinance, 1984 (XLVII of 1984) under bequest or inheritance, the date of death of the person making such bequest or leaving such inheritance, or the date of transmission by succession or under a will by the deceased, as the case may be, whichever is earlier;
 - (iv) in case of acquisition of a security under a futures contract, the date of entry into the futures contract;
 - (v) in case of a borrowed security, the date on which the investor purchases the security to cover his short position and to return the security to the security lender; and
 - (vi) in case of conversion of global depository receipts into shares, the closing price of shares on the day of such conversion shall be treated as acquisition cost of such shares.
- (h) **date of disposal** of any security in the electronic book entry form means,-
- (i) the date on which the investor sells or otherwise disposes of the security and the security is transferred from the investor's brokerage account, CDC sub-account or the concerned broker's or stock exchange's member's CDC Group Account, whichever is earlier;
 - (ii) in case of any security in the physical certificate form means the date on which selling broker sells the security or the date on which the issuing company deletes the seller's name from the record of its security holders, whichever is earlier;
 - (iii) in the case of a security underlying a futures contract, means the date of exit from futures contract; and
 - (iv) in the case of a borrowed security means the date on which the borrower short sells the borrowed security after borrowing it from the security lender;
- (i) **date of entry into futures contract** means, in case of a long position, the date on which securities underlying the futures contract are purchased and are transferred to the investor's brokerage account and, in case of a short position, the date on which securities underlying the futures contract are sold short;
- (j) **date of exit from futures contract** means, in case of a long

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position, the date on which securities underlying the futures contract are sold and are transferred from the investor's brokerage account and, in case of a short position, the date on which securities underlying the futures contract are purchased to cover the short position;

- (k) **date of exercise of option** means the date of acquisition of a security underlying an option and is the date on which option is exercised to acquire the underlying security;
 - (l) **exercise price** is the cost of acquisition of a security underlying an option and is the price of securities underlying an option which the investor paid to purchase the underlying securities on exercise of the option;
 - (m) **holding period** shall be calculated as prescribed under the provisions of sub-section (2) of section 37A of the Income Tax Ordinance, 2001;
 - (n) **investor** means every person who invests in securities and includes every broker who makes investments in such securities; and
 - (o) **jurisdiction of tax authority** means the jurisdiction of the tax office in which business of the securities is being carried on by a person and where such business is carried on in more than one place, the person's principal place of business.
- (2) All other words and expressions not specifically defined in these rules shall have the meanings assigned to them under the Ordinance.

13M. Quarterly statements.-

Quarterly statements shall be e-filed in the following format, namely¹[:]

²["Provided that these statements shall not be applicable in the case of investors falling under Eighth Schedule to the Ordinance read with rule 13N."]

¹ The colon and hyphen substituted by the SRO 1145(I)/2016 dated 7th December, 2016.

² The proviso added by the SRO 1145(I)/2016 dated 7th December, 2016.

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Statement of Capital gains tax liability

Part-I

Particulars of Investor's account

1. Investor's Name(s)
 - (i) _____
 - (ii) _____
 - (iii) _____
2. Complete Address(es)
 - (i) _____
 - (ii) _____
 - (iii) _____
3. Brokerage Account No. _____
4. Date of Opening of Brokerage Account _____
5. Type of Account (individual, joint, AOP, firm, company) _____
6. Name of Brokerage Firm/ Company _____
7. Contact No. and Address of Brokerage Firm/ Company _____
8. CDC sub account No. _____
9. Total value of shares carried in account as on 30th June _____
10. Total cash carried in account as on 30th June _____
11. Tax period (tax year/quarter) _____
12. Capital gain during the tax period _____
13. Capital loss during the tax period _____
14. Net gain/loss _____
15. Tax on capital gain payable for the tax period _____
(Calculated in part II, III & IV of summary of transactions)

Investor's Name _____

Signature _____

Date _____

CHAPTER - II DETERMINATION OF INCOME - HEADS OF INCOME

¹[Part-II

¹ Part-II, Part-III, Part-IV and Part-V substituted by the SRO 1145(I)/2016 dated 7th December, 2016.
The substituted Part-II, Part-III, Part-IV and Part-V read as follows:-

Part-II

Summary of shares held upto six months – tax payable @ 10%

Sales					Purchases					Capital Gain (Loss)	CGT Payable
Date of sale	Particulars of shares	No. of shares	Sale Price per Share	Sale Proceeds	Date of purchase	Particulars of shares	No. of shares	Purchase Price per Share	Total Purchase price		

Investor's Name _____
Brokerage Account No. _____
Signature _____
Date _____

Part-III

Summary of shares held above six months to one year - tax payable @ 7.5%

Sales					Purchases					Capital Gain (Loss)	CGT Payable
Date of sale	Particulars of shares	No. of shares	Sale Price per Share	Sale Proceeds	Date of purchase	Particulars of shares	No. of shares	Purchase Price per Share	Total Purchase price		

Investor's Name _____
Brokerage Account No. _____
Signature _____
Date _____

Part-IV

Summary of shares held for more than one year – no tax payable

Sales					Purchases					Capital Gain (Loss)	CGT Payable
Date of sale	Particulars of shares	No. of shares	Sale Price per Share	Sale Proceeds	Date of purchase	Particulars of shares	No. of shares	Purchase Price per Share	Total Purchase price		

Investor's Name _____
Brokerage Account No. _____
Signature _____
Date _____

PART-V Affidavit

I _____ S/o. _____ CNIC No. _____
resident of _____ holding brokerage
account No. _____ with the brokerage firm _____ and
holding CDC sub account No. _____ with Central Depository Company do hereby

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Summary of Capital Gain on Securities as per Division VII of Part I of First Schedule

Sales					Purchases					Holding period *	Filer/Non-Filer	Applicable Rate as per Division VII	Capital Gain (Loss)	CGT Payable
(1)					(2)					(3)	(4)	(5)	(6)	(7)
Date of sale	Particulars of Securities	No. of Securities	Sale Price per security	Sale Proceeds	Date of Purchase	Particulars of Securities	No. of Securities	Purchase Price per security	Total Purchase price					

* Applicable in case the security is acquired after 1 July 2012

Investor's Name
Brokerage Account No.....
Signature.....
Date.....]

¹[Part – III

Affidavit

I S/O CNIC No..... resident ofholding brokerage account No. with the brokerage firm.....and holding CDC sub account No.....with Central Depository Company do hereby solemnly affirm that particulars of my account given in Part I and the particulars of securities transactions conducted during the tax period given in Part – II of the summary of securities transactions are true and correct and in accordance with the ledger statements and CDC statements of my account for the above mentioned tax period. I further affirm that nothing has been concealed or incorrectly stated regarding my account. I know that in case any particulars of my account and share transactions conducted during the above mentioned tax period and given under rule 13M of the

solemnly affirm that particulars of my account given in Part I and the particulars of share transactions conducted during the tax period given in Part-II, III and IV of the summary of share transactions are true and correct and in accordance with the ledger statements and CDC statements of my account for the above mentioned tax period.

I further affirm that nothing has been concealed or incorrectly stated regarding my account. I know that in case any particulars of my account and share transactions conducted during the above mentioned tax period and given under rule 13M of the Income Tax Rules, 2002 as mentioned above are found to be false being not in conformity with ledger statements and CDC statements of my account, I am liable to be penalized in accordance with rule 13K of the Income Tax Rules, 2002.

Deponent (Investor's Name).....
Signature
Date

¹ Substituted by the SRO 1145(I)/2016 dated 7th December, 2016.

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Income Tax Rules, 2002 as mentioned above are found to be false being not in conformity with ledger statements and CDC statements of my account, I am liable to be penalized in accordance with rule 13K of the Income Tax Rules, 2002.

Deponent (investor's name)
Signature.....
Date

¹[13N. Special procedures for computation of capital gains and collection of tax. –

- (1) NCCPL shall, in accordance with this rule, collect tax on capital gains as provided in Eighth Schedule to the Ordinance, hereinafter in this Part called as the said Eight Schedule.
- (2) The provisions of the said Eighth Schedule and these rules shall apply to capital gains derived from listed securities on or after the 24th April, 2012, except in the case of instrument of redeemable capital where such provisions shall be applicable on capital gain derived from the 1st July, 2012 ²[.]

³[Provided that in case of Foreign Institutional Investors, provisions of the said Eighth Schedule and these rules shall be applicable on capital gain derived from the first day of July, 2014.

Explanation: For the removal of doubt, it is clarified that all Foreign Institutional Investors shall be subject to the regime as laid down in Eighth Schedule and no exemption whatsoever from withholding tax under Eighth Schedule or under these rules is available to Foreign Institutional Investors for any reason.]

- (3) ⁴ [In computing capital gains, NCCPL shall take into account transactions and their values as reported to or provided to or extracted from the systems or procedures in place with NCCPL, stock exchange and the Central Depository Company of Pakistan Limited, the clearing

¹ New Rules inserted vide SRO 1119(I)/2012 dated 12th September, 2012

² Substituted for full stop by SRO 161(I)/2015, dated February 23, 2015.

³ Proviso and explanation inserted by SRO 161(I)/2015, dated February 23, 2015.

⁴ Sub-rule (3) substituted by the SRO 1145(I)/2016 dated 7th December, 2016. The substituted sub-rule (3) read as follows:-

In computing capital gains, NCCPL shall take into account transactions and their values as reported to or provided to or extracted from the systems or procedures in place with ⁴[NCCPL], stock exchanges ⁴[.] The Central Depository Company of Pakistan Limited ⁴[and clearing members in case of Foreign Institutional Investors ⁴[.]

⁴[Provided that, where any discrepancy or error is pointed out or found in recording the date of acquisition of security, NCCPL may, with the prior approval of the Commissioner Inland Revenue, rectify such date based on the relevant information provided by CDC as obtained from concerned issuer or its share registrar and accordingly re-compute the capital gain tax liability in the financial year in which such security has been disposed of.]

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members in case of Foreign Institutional Investors, PMEX in case of future commodity contracts and Asset Management Companies in case of open ended mutual funds:

Provided that, where any discrepancy or error is pointed out or found in recording the date of acquisition of security, NCCPL may, with prior approval of the Commissioner Inland Revenue, rectify such date based on the relevant information provided by CDC as obtained from concerned issuer or its share registrar or clearing members in case of Foreign Institutional Investors and accordingly re-compute the capital gain tax liability in the financial year in which such security has been disposed of.;

¹[(3A) Notwithstanding the ²[provisions of the second proviso to sub-section (1) of section 37A and] sub-rule (1), Asset Management Companies and PMEX shall continue to determine, compute and collect Capital gains tax on open ended mutual funds and future commodity contracts respectively, and shall deposit the same with NCCPL within ten working days of the month end.]

³[(3B) NCCPL shall verify the liability of the investor calculated by Asset Management Companies and PMEX as above, and will compute the net capital gains tax liability or refund for each investor to be collected from or refunded to the Asset Management Companies or PMEX. Provided that where cumulative refund per investor for the year to date does not exceed Rs 1,000 per investor, it will be carried forward for adjustment in next month(s), however, any refunds, irrespective of amount, shall be refunded at the year end:

Provided that the information to be reported to or provided to NCCPL as above shall be required to be in a manner and time deemed necessary for NCCPL to discharge its obligation under the law and provisions of Rule 3 and 3A of Eight Schedule to the Ordinance shall be applicable in this respect.]

(4) The gain arising on the disposal of a security by a person shall be computed in accordance with the following formula, namely:-

$$A - B$$

Where –

A is the consideration received by the person on disposal of the security; and

B is the cost of acquisition of the security.

¹ Substituted by the SRO 1145(I)/2016 dated 7th December, 2016.

² Expression inserted by S.R.O. 776(I)/2023 dated 27.06.2023.

³ Substituted by the SRO 1145(I)/2016 dated 7th December, 2016.

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- (5) Capital gain or loss arising on the disposal of listed securities shall be computed on the basis of First In First Out (FIFO) inventory accounting method:

Provided that while applying FIFO method, market based transactions shall be taken into account first:

Provided further that the FIFO method shall not apply in respect of sale of shares purchased on the same trading day or in same futures or derivative contract ¹[, except traded on PMEX,] and capital gain or loss shall be computed by applying average method²[:]

³[Provided further that the FIFO shall be applied on aggregate inventory held by an investor at UIN level.]

- ⁴[(5A). For the purposes of computation and collection of capital gains tax in this rule applicable rate shall be taken from Division VII of Part I of the First Schedule based on whether the investor is filer or non-filer as per ATL at the time of transaction⁵:

Provided that NCCPL shall adjust the capital gain tax liability based on status of investor as filer or non-filer as per Active Taxpayers' List at the end of tax year.]

- ⁶[(5B) For the purpose of computation of capital gains tax liability on stock fund the applicable rate of tax as per third proviso of the Division VII of Part I of the First Schedule shall be taken on month on month basis.]

- (6) Capital loss arising on disposal of listed securities as determined by NCCPL in any financial year shall be set off against capital gain arising from the disposal of securities during that financial year to determine the taxable capital gain arising from the disposal of listed securities.

⁷[

- (7) Capital loss arising on disposal of listed securities in tax year 2019 and onwards that has not been set off against the gain of the person from disposal of listed securities chargeable to tax during the tax year shall be carried forward to the following tax year and set off only against the gain

¹ Inserted by the SRO 1145(I)/2016 dated 7th December, 2016.

² Full stop substituted by the SRO 1145(I)/2016 dated 7th December, 2016.

³ Added by the SRO 1145(I)/2016 dated 7th December, 2016.

⁴ Inserted by the SRO 1145(I)/2016 dated 7th December, 2016.

⁵ Full stop substituted and proviso added by S.R.O. 1956(I)/2022 dated 24.10.2022.

⁶ Inserted by the SRO 1145(I)/2016 dated 7th December, 2016.

⁷ Sub-rule (7) substituted by S.R.O. 801(I)/2021 dated 24.06.2021 24.06.2021. Substituted sub-rule (7) read as follows:

“(7) Capital loss arising on disposal of listed securities in any financial year shall not be carried to a subsequent financial year.”

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of the person from disposal of listed securities chargeable to tax but no such loss shall be carried forward to more than three tax years immediately succeeding the tax year for which the loss was first determined.]

¹[(7A) Capital loss arising on disposal of listed securities in tax year 2019 and onward shall be carried forward to a subsequent tax year for setting off, in the manner prescribed as follows: –

- (a) The setting off of eligible capital loss carried forward from previous tax year(s) shall be made by NCCPL under this Rule, only in respect of a taxpayer whose name appear or appeared in the Active Tax Payers List [ATL] pertaining to the tax year to which such loss pertains as witnessed by the Active Tax Payers List [ATL] available on FBR's website after updation for the tax year to which such loss pertains;
 - (b) adjustment of carried forward capital loss(es) shall be made on monthly basis by NCCPL from the first month of updation of ATL for that tax year and on first-in first-out (FIFO) basis;
 - (c) NCCPL may requisition date wise position of Active Tax Payers List [ATL] in respect of particular taxpayer from Information Technology (IT) Wing of the Board as and when required;
 - (d) At the end of relevant tax year, NCCPL shall maintain tax year-wise balance of unexpired carried forward capital losses separately identifiable for computation of limitation period for each tax year; and
 - (e) The manner of adjustment of capital loss carried forward from previous tax years will be in accordance with illustration given in clause (zf) of Rule 13P.]
- (8) NCCPL shall deduct or add 0.5 percent for client's trade and 0.25 percent for broker's proprietary trade of the consideration received on disposal or cost of acquisition of securities respectively, in lieu of brokerage, commission, transaction fee, levy, Laga or any other similar incidental expenses incurred by the person while disposing or acquiring a security, subject to the condition that such deduction shall only be allowed in respect of market based transactions²[:]

³[Provided that the above deductions shall not be applicable in case of units of open ended mutual funds and future contracts entered into by the members of PMEX.]

¹ New sub-rule (7A) inserted through S.R.O. 801(I)/2021 dated 24.06.2021.

² Full stop substituted by the SRO 1145(I)/2016 dated 7th December, 2016.

³ Added by the SRO 1145(I)/2016 dated 7th December, 2016.

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- (9) NCCPL shall also deduct financing cost from the consideration received if financing is availed through NCCPL's leveraged market products.
- (10) NCCPL shall collect an amount as computed in the manner laid down in the said Eighth Schedule and these rules on monthly basis in respect of transactions settled in a month, after adjustment of losses ¹ [including adjustment of carried forward losses as per section 37A(5) and sub-rules (7) and (7A) above] and repayment of amount collected in previous month or months of same financial year, to ensure that at the end of any given month NCCPL possesses an amount equal to the estimated amount of tax liability on capital gains.
- (11) Amount computed in the manner laid down in the said Eighth Schedule and these rules shall be collected by NCCPL from or through the clearing member ²[PMEX and Asset Management Companies] on net capital gains derived by person, taxable under the said Eighth Schedule.
- (12) Any person, if not satisfied with the computation of capital gain or tax thereon or both made by NCCPL for the purpose of the said Eighth Schedule, such person may re-compute the capital gain and lodge claim of refund, if any, with the Commissioner after filing of return of income and the Commissioner shall refund the amount of tax in accordance with provisions of Part VI of Chapter X of the Ordinance.
- (13) For the purpose of the said Eighth Schedule and this rule, the provisions of rules 13F, 13H and 13I shall not apply.
- (14) The provisions of rule 13J shall not apply to the person whose tax liability on capital gains is discharged under the said Eighth Schedule, however the brokerage account of the investor ³[, account of unit holder of open ended mutual fund with Asset Management Companies and account of member of PMEX as the case may be] shall not be closed until and unless such person obtains a clearance certificate from NCCPL⁴[.]

⁵[Provided that accounts of unit holders of open ended mutual funds with Asset Management Companies and account of member of PMEX, if closed without obtaining clearance certificate from NCCPL, Asset Management Company or PMEX shall remain responsible to ensure that any outstanding liability in respect of Capital Gain Tax which has arisen or may arise, has been collected from respective investor and deposited with NCCPL:]

¹ Words inserted by S.R.O. 801(I)/2021 dated 24.06.2021.

² Inserted by the SRO 1145(I)/2016 dated 7th December, 2016.

³ Inserted by the SRO 1145(I)/2016 dated 7th December, 2016.

⁴ Full stop substituted by the SRO 1145(I)/2016 dated 7th December, 2016.

⁵ Added by the SRO 1145(I)/2016 dated 7th December, 2016.

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¹[Provided further that in case Asset Management Company or PMEX is unable to recover such tax from investor, these non-payments should be reported on monthly basis to NCCPL for onward reporting to Board in terms of rule 6(3) of the Eight Schedule to the Ordinance.]

- (15) NCCPL shall issue certificate as provided in clause (4) of rule 1 of the said Eighth Schedule, as set out in Part I of rule 13O, ²[verifying] capital gains and tax thereon, if any, to each person subject to tax under the said Eighth Schedule within ³[forty-five] days from the end of the financial year.
- (16) NCCPL shall furnish electronically to the Board a quarterly statement of amount collected, within ⁴[forty-five] days from the end of each quarter as set out in Part II of rule 13O.
- (17) The person who has opted out of the scheme of taxation provided in the said Eighth Schedule shall file an undertaking to NCCPL in the form prescribed in Part III of rule 13O ⁵[along with the evidence of obtaining prior approval of Commissioner under rule 5 of the said Eighth Schedule].

⁶[Provided that the Commissioner shall not accord prior approval, unless the taxpayer is a filer]

- (18) Statements referred in rule 2 of the said Eighth Schedule shall be furnished on the format prescribed in Part IV of rule 13O.

⁷[(18A) Where an irrevocable option has been filed to NCCPL by a person, after obtaining prior approval of the Commissioner to opt out of Eighth Schedule for determination and payment of capital gains tax, NCCPL shall submit to the Board details of capital gains and tax thereon of such person or persons for the tax year or part thereof in respect of which capital gain tax collection has not been made by NCCPL.]

- (19) The period of forty-five days or one hundred twenty days, as the case may be, as referred in rule 2 of the said Eighth Schedule, shall be the period or periods in aggregate to, forty-five days or one hundred twenty days, as the case may be, during the period as provided in rule 2(1)(b) and 2(2)(b) of the said Eight Schedule.

¹ Added by the SRO 1145(I)/2016 dated 7th December, 2016.

² Substituted for "showing computation of" by SRO 161(I)/2015, dated February 23, 2015.

³ Word "thirty" substituted by S.R.O. 1956(I)/2022 dated 24.10.2022.

⁴ Word "thirty" substituted by S.R.O. 1956(I)/2022 dated 24.10.2022.

⁵ Words inserted by SRO 161(I)/2015, dated February 23, 2015.

⁶ Proviso inserted by SRO 161(I)/2015, dated February 23, 2015.

⁷ Sub-rule (18A) inserted by SRO 161(I)/2015, dated February 23, 2015

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(20) For the purpose of rule 2 of the said Eighth Schedule, the investment shall be the time weighted average of the invested amount arranged in descending order for forty-five days or one hundred twenty days, as the case may be. The amount of investment at any particular day shall be netted off with the market value of net open sale position in futures and derivative contract of the same security to the extent of the amount of investment representing such security, before calculating aforementioned time weighted average.

(21) For the purpose of clarity in computing, determining, collecting and depositing the tax on ¹[capital gains by Asset Management Companies and PMEX] capital gains by NCCPL, certain transactions and their tax treatments as well as the amount and period of investment referred to in rule 2 of the said Eighth Schedule are as enunciated in rule 13P:

Provided that in case of any confusion in respect of such computation, determination, collection or deposit, NCCPL, after computing, determining, collecting or depositing, may refer the case to the Board for clarification and make adjustments, if required, after such clarification.

(22) Definitions

For the purposes of this part,-

- (a) **“clearing member”** shall have meaning as defined in NCCPL Regulations, 2003;
- (b) **“leveraged market”** shall have the meaning as defined in the Securities (Leveraged Markets and Pledging) Rules, 2011;
- (c) **“market based transaction”** means transaction executed at any registered stock exchange in Pakistan or NCCPL’s platform; and
- (d) **“UIN”** means Unique Identification Number as defined in NCCPL Regulations, 2003.

(23) Notwithstanding anything contained in these rules, for the purpose of computation of capital gains and collection of tax thereon, the date of acquisition ²[, except in the case of foreign institutional investors,] and disposal, the consideration received and cost of acquisition shall be determined in the following manner, namely:-

- (a) for the purpose of computation of capital gains, securities held on the 23rd April, 2011 shall be deemed as having held for a period of more than one year and the cost of such securities shall be

¹ Inserted by the SRO 1145(I)/2016 dated 7th December, 2016.

² Words etc. inserted by SRO 161(I)/2015 dated February 23, 2015.

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deemed to be the market price (day-end price) of the securities, as on the 23rd April 2011;

- (b) where physical securities have been deposited in an account maintained with Central Depository Company of Pakistan Limited between the 24th April, 2011 and the 23rd April, 2012 (both days inclusive), the date of acquisition of such securities shall be deemed as the 23rd April, 2011 and the cost of securities shall be deemed as market price (day-end price) as on the 23rd April, 2011;
- (c) where securities have been acquired or disposed between the 24th April, 2011 and the 23rd April, 2012 (both days inclusive), the cost of acquisition and consideration received for disposal shall be determined in the following manner, namely:-
 - (i) in case of market-based transactions, the transaction price of the securities;
 - (ii) in case of transactions other than market-based transactions deal price provided by the stock exchange; and
 - (iii) in all other cases, the market price (day-end price);
- (d) where physical securities are deposited on or after the 24th April, 2012 in an account maintained with Central Depository Company of Pakistan Limited, the actual date of acquisition and market price (day-end price) prevailing on such date shall be taken into account for computation of capital gains tax; ¹[]

²[]

- ³ [(dd) where securities of unlisted company are converted into listed form, the cost of acquisition of such securities shall be the face value and the date of acquisition shall be the date of acquisition as available with CDC:

Provided that the cost of acquisition of securities in case of securities acquired during book building process and

¹ The word "and" omitted by the S.R.O. 498(I)/2016 dated 27th July, 2016.

² Clause (dd) inserted by the S.R.O. 498(I)/2016 dated 27th July, 2016.

³ Clause (dd) substituted by S.R.O. 1570(I)/2022 dated 22.08.2022. Substituted clause (dd) read as follows:

"(dd) where securities of unlisted company are converted into ³[listed] form, the cost of acquisition of such securities shall be the market price at which the security is listed on the stock exchange and the date of acquisition shall be the date of acquisition as available with CDC ³[;]"

³[Provided that cost of acquisition of securities in case of securities acquired during book building process and initial public offer (IPO) period shall be the applicable IPO price.";] and"

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initial public offer (IPO) period shall be the applicable IPO price; and]

- (e) in all other cases, where actual or deal price is not known to NCCPL, the market price (day-end price) shall be taken into account for computation of capital gains tax.

¹[(24) Notwithstanding anything contained in these rules, for the purpose of computation of capital gains and collection of tax thereon with respect to foreign institutional investors, the date of acquisition and disposal, the consideration received and cost of acquisition shall be determined in the following manner, namely:-

- (a) for the purpose of computation of capital gains, securities held on the 30th June, 2012 shall be deemed as having held for a period of more than two years and the cost of such securities shall be deemed to be the market price (day-end price) of the securities, as on the 30th June 2012;
- (b) where securities have been acquired or disposed of between the 1st July, 2012 and the 30th June, 2014 (both days inclusive), the cost of acquisition and consideration received for disposal shall be determined in the following manner, namely:-
 - (i) in case of market-based transactions, the transaction price of the securities;
 - (ii) in case of transactions other than market-based transactions deal price provided by the stock exchange; and
 - (iii) in all other cases, the market price (day-end price);
- (c) where physical securities are deposited on or after the 1st July, 2014 in an account maintained with Central Depository Company of Pakistan Limited, date and cost of acquisition shall be taken into account as follows:-
 - (i) the actual date of acquisition and market price (day-end price) prevailing on such date shall be taken into account for computation of capital gains tax, where such securities are acquired after April 23, 2011; and
 - (ii) the cost of such securities and date of acquisition shall be deemed to be the market price (day-end price) of the

¹ Sub-rules (24) and (27) inserted by SRO 161(I)/2015, dated February 23, 2015.

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securities, as on the 23rd April 2011, where such securities are acquired on or before April 23, 2011; and

- (iii) in all other cases, where actual or deal price is not known to NCCPL, the market price (day-end price) shall be taken into account for computation of capital gains tax.

- (25) Foreign Institutional Investor may apply to NCCPL for separate Unique Identification Numbers (UIN) for each of its sub-funds under its umbrella.
- (26) Where separate UINs have been obtained by Foreign Institutional Investor for each of the sub-funds under its umbrella, capital gain or loss shall be computed separately for each sub-fund and loss under one UIN shall not be allowed to be set off against capital gain arising to another sub-fund with separate UIN.
- (27) Where a Foreign Institutional Investor opts not to apply to NCCPL under sub-rule (25), loss arising to any sub-fund shall not be allowed to be set off against capital gain of any sub-fund. However, such loss of a sub-fund may be adjusted against gain arising to such sub-fund at the time of filing of return by the sub-fund.]
- (28) ¹[A new UIN shall not be assigned to unit holders of open ended mutual funds and members of PMEX if they already have been assigned a UIN by NCCPL.]

130. Statements and forms.-

Statements and forms as mentioned in sub-rules (15), (16),(17) and (18) of rule 13N, shall be filled in the following format, namely:-

²[]

¹ Added by the SRO 1145(I)/2016 dated 7th December, 2016.

² Part-I substituted by the SRO 1145(I)/2016 dated 7th December, 2016. The substituted Part-I read as follows:-

[Part-I

Format of annual certificate of capital gains to be issued by NCCPL to taxpayer under rule 1(4) of the Eighth Schedule to the Ordinance

[See rule 13N(15)]

Original/Duplicate		Date of issue _____
Sr. No		
1.	Name of taxpayer	_____
2.	UIN	_____
3.	CNIC/NTN	_____
4.	Period	July 1, 20__ to June 30, 20__
5.	Clearing members Name	(a) _____

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	(b)	(c)
6. Amount of capital gains for holding period:		
(i) Less than 12 months	Rupees	
(ii) 12 months or more but less than 24 months	Rupees	
(iii) 24 months or more but less than 48 months	Rupees	
(iv) 48 months or more	Rupees	
7. Amount of capital loss for holding period :		
(i) Less than 12 months	Rupees	()
(ii) 12 months or more but less than 24 months	Rupees	()
(iii) 24 months or more but less than 48 months	Rupees	()
(iv) 48 months or more	Rupees	()
8. Amount of tax liability on capital gains:		
(i) Less than 12 months (15%)	Rupees	
(ii) 12 months or more but less than 24 months (12.5%)	Rupees	
(iii) 24 months or more but less than 48 months (7.5%)	Rupees	
(iv) 48 months or more (0%)	Rupee	
(v) Adjustment of tax liability due to capital loss	Rupees	
(vi) Total Liability (i+ii+iii+v) (%)	Rupees	
9. Amount of tax liability on capital gains collected and deposited by NCCPL	Rupees	
This is to further certify that the tax collected has been deposited in the Federal Government Account.		
Name of authorized person		
Signature		

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¹[Part I

Format of annual certificates of capital gains to be issued by NCCPL to taxpayer under rule 1(4) of the Eighth Schedule to the Ordinance

Form A

[See rule 13N (15)]

Original/Duplicate	Date of Issue _____
Name of taxpayer	_____
UIN/CNIC/NTN/Company Registration Number	_____
Period	July 1, 20____ to June 30, 20____
Amount of net capital gain/(loss) on securities (Current Tax Year – Exempt)	Rupees _____
Amount of net capital gains/(Loss) on securities (Current Tax Year) (Taxable)	Rupees _____
Capital loss brought forward (if any) from previous years (Tax Year and amounts) Years Amounts Year 1 Year 2 Year 3 Total	Rupees _____
Amount of net capital gains/(Loss) on securities (After adjustment of brought forward capital	Rupees _____

¹ Part I substituted by S.R.O. 801(I)/2021 dated 24.06.2021. Substituted Part I read as follows:

"Part-I

Format of annual certificate of capital gains to be issued by NCCPL to taxpayer under rule 1(4) of the Eighth Schedule to the Ordinance

[See rule 13N(15)]

Original/Duplicate

Date of issue _____

Sr. No

1. Name of taxpayer _____
2. UIN _____
3. CNIC/NTN _____
4. Period July 1, 20____ to June 30, 20____
5. Amount of net capital gains on securities _____
6. Amount of tax liability on capital gains collected and deposited by NCCPL Rupees _____
7. Amount of tax liability on capital gains collected and deposited by NCCP Rupees _____

This is to further certify that the tax collected has been deposited in the Federal Government Account.

Name of authorized person _____
Signature _____

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loss					
Amount of tax liability on capital gains					Rupees
Amount of tax liability on capital gains collected and deposited by NCCPL					Rupees
Amount and year wise break-up of capital losses carried forward including the limitation period is as follows:					Rupees
<u>Tax year</u>	<u>Loss for the year as per NCCPL certificate</u>	<u>Loss already adjusted</u>	<u>Carried forward capital loss</u>	<u>Year of expiry</u>	

]

¹[Part-II
Format of quarterly Statement to be filed by NCCPL to the Board
under rule 1(5) of the Eighth Schedule to the Ordinance
[See rule 13N(16)]

NTN No. _____ Address _____

¹ Part-II substituted by the SRO 1145(I)/2016 dated 7th December, 2016. The substituted Part-II read as follows:-

[Part-II
Format of quarterly Statement to be filed by NCCPL to the Board
under rule 1(5) of the Eighth Schedule to the Ordinance
[See rule 13N(16)]

NTN No. _____ Address _____

Telephone _____ Fax _____ Email _____

S.No.	Name	UIN	¹ [Net amount of capital gains as at quarter ended			Provisional amount of capital gains tax liability as at quarter ended
			Holding period of less than 12 months	Holding period of 12 months or more but less than 24 months	Holding period of 24 months or more]	

I, _____ holder of CNIC No. _____ in my capacity as Principal Officer / Representative of NCCPL do hereby solemnly declare that to the best of my knowledge and belief the information given in this statement is correct and complete and in accordance with the applicable provisions of the Income Tax Ordinance, 2001 and Income Tax Rules, 2002.

Date _____ (dd/mm/yyyy)

Signature _____]

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Telephone _____ Fax _____ Email _____

S.No.	Name	UIN	¹ [Net amount of capital gains as at quarter ended]			Provisional amount of capital gains tax liability as at quarter ended
			Holding period of less than 12 months	Holding period of 12 months or more but less than 24 months	Holding period of 24 months or more]	

I, _____ holder of CNIC No. _____ in my capacity as Principal Officer / Representative of NCCPL do hereby solemnly declare that to the best of my knowledge and belief the information given in this statement is correct and complete and in accordance with the applicable provisions of the Income Tax Ordinance, 2001 and Income Tax Rules, 2002.

Date _____ (dd/mm/yyyy)

Signature _____]

Part-III

Format of irrevocable option to be filed by the taxpayer under rule 5 of the Eighth Schedule to the Ordinance, who opts out of the mechanism for determination and payment of tax liability on capital gains laid down in the Eighth Schedule to the Ordinance

[See rule 13N(17)]

To, (NCCPL)

In terms of rule 5 of the Eighth Schedule to the Ordinance, I / we (name of person), hereby undertake to opt out of the mechanism for determining and payment of tax liability laid down in the said Eighth Schedule.

My other particulars are as under:

UIN	
NTN / CNIC	
Business address	
Residence address	
Telephone No.	
E-mail address	

I do hereby solemnly declare that information stated above is complete and correct to the best of my knowledge and belief.

Signature of the authorized person

Dated: _____

¹ Column (4) of Table II substituted by SRO 161(I)/2015, dated February 23, 2015.

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Part-IV

Statement of investments to be filed by taxpayer with the Commissioner under rule 2(1) of the Eighth Schedule to the Ordinance

[See rule 13N(18)]

To,

The Commissioner, Inland Revenue.

I hereby declare my investments in listed securities as of _____¹[20____], in
terms of rule 2(1) of the Eighth Schedule to the Ordinance, as under:-

S.No.	Name of Security	Rupees

My other particulars are as under:

Name	
NTN / CNIC	
Business address	
Residence address	
Telephone No.	
E-mail address	

I do hereby solemnly declare that information stated above is complete and correct to
the best of my knowledge and belief.

Signature of the authorized person

Dated _____

13P. Clarifications and explanations.-

Clarification and explanation as mentioned in sub-rule (21) of rule 13N
regarding computation of capital gains and tax payable thereon under the
Eighth Schedule to the Ordinance, and the amount and period of investment
referred to in rule 2 of the said Eighth Schedule are as under:-

(a) Sales transactions:-

(i) Details of the transaction

¹ Substituted for "2012" by SRO 161(I)/2015, dated February 23, 2015.

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An investor, holding securities, sells such securities in a stock exchange. The transaction is settled by transferring the securities sold from his account maintained in Central Depository System to the investor(s) buying the securities with credit of sale proceeds to the account of investor disposing of the securities.

(ii) Tax treatment

Disposal of security is to be taken as taxable event, at settlement date. Capital gain will be computed by applying FIFO method. If the securities holding period is more than one year, then no CGT shall be collected, otherwise, as per holding period, CGT shall be collected as per the holding period.

(iii) Example

A, being a client of a broker, has 2,000 shares of company ABC in his account. He acquired 1,000 shares on the 1st January, 2011 at Rs.15 per share, 500 on the 1st July, 2012 at Rs.16 per share and 500 on the 1st January, 2012 at Rs.14 per share. He disposed off 500 shares on the 1st February, 2012 at Rs.13 per share, 500 shares on the 7th February, 2012 at Rs.14 per share, 500 shares on the 21st February, 2012 at Rs.15 per share and 500 shares on the 28th February, 2012 at Rs.22 per share.

The cost of acquisition is deemed to include 0.50% of the acquisition cost as incidental expenses incurred.

NCCPL shall collect CGT as per following example ¹[(below rates are hypothetical and used solely for understanding purposes, therefore, rate as per Division VII of Part I of First Schedule will be applicable in case of actual transactions)]:

Purchases / Acquisitions				Disposal				
Date	No. of shares	Price	Cost*	1 st Feb, 2012	7 th Feb, 2012	21 st Feb, 2012	28 th Feb, 2012	Total
1-Jan-11	1,000	15	15,000	500	500			1,000
1-Jul-11	500	16	8,000			500		500
1-Jan-12	500	14	7,000				500	500
	2,000		30,000	500	500	500	500	500
Selling price per share				13	14	15	22	
Sale proceed Less:				6,500	7,000	7,500	11,000	32,000
Cost				7,500	7,500	8,000	7,000	30,000

¹ Inserted by the SRO 1145(I)/2016 dated 7th December, 2016.

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	(1,000)	(500)	(500)	4,000	2,000
Less: 0.50% of sale proceeds as expense	32.50	35	37.50	55	160
	(1,032.50)	(535)	(537.50)	3,945	1,840
Adjustment of eligible losses			537.50	(537.50)	
Loss not eligible for set-off	1,032.50	535			
	0	0	0	3,407.50	
Holding period	396	402	235	58	
Tax rate applicable	0%	0%	8%	10%	
Tax to be collected					340.75
					3,066.75

* Cost has been deemed to include 0.50% of cost of acquisition for ancillary expenses, hence not separately mentioned.

(b) Squaring up transactions in ready, futures and derivatives

(i) Details of the transaction

An investor holding shares disposes of such shares, but on the same day or in same futures or derivative contract he buys same quantity of shares. The system does not change the inventory balances of the person in his account. The net difference of sale and purchase is either paid being profit or recovered being loss from the investor.

(ii) Tax treatment

Since there is no movement in the account, the net difference is payable to the investor, the same shall be taken as capital gain for holding period less than 6 months and the net difference will be subject to tax collection at 10%. If the net difference is recoverable, then the same shall be treated as loss and no tax shall be collected.

(iii) Example

In the example given in clause (a)(iii), in addition to the above, if A on the 28th February 2013 sold 500 shares, at Rs.23, purchased 500 shares at Rs.21 and then sold 500 shares at Rs.22.

In this case, the average selling price of the two sales would be Rs.22.5 per share which will be taken as the basis for computing capital gains. Consequently, gain of Rs.750 (500 x (22.5-21))

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shall be taken as taxable at 10%. Whereas, on remaining 500 shares sold the taxable gain, if any, will be computed by taking sale consideration at Rs.22.5 per share by apply FIFO method on inventory held by A in his account.

(c) Transfer owing to privatization

(i) Details of the transaction

Owing to privatization, the shares of Government owned entities may be offered to public through stock exchanges. In such case, the Government shareholding is placed in the account of Privatization Commission and, after subscription, the shares are transferred from Privatization Commission's account to the accounts of the buyers.

(ii) Tax treatment

Transfer of shares by the Federal or Provincial Government in an entity will not be subject to capital gains tax due to exemption contained in section 49 of the Ordinance.

Acquisition of shares shall not be subject to any tax. The cost of acquisition of the shares shall be the price paid by the buyers to acquire the shares and such cost base shall be taken into account for computation of capital gain on any subsequent disposal of shares by the buyers.

(d) Negotiated deal transactions

(i) Details of the transaction

Certain investors holding shares may sell through negotiated deal at a price agreed with the buyer e.g. a strategic sale and purchase of shares to acquire or dispose of controlling shares. Such transactions are reported as negotiated deal transactions at the relevant stock exchange through a stock broker in the manner prescribed by such stock exchange.

(ii) Tax treatment

The price reported as selling price or the market price, whichever is higher, shall be taken into account to compute capital gain on the basis of holding period of such securities.

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(iii) Example

A holding 51% shares in company ABC (51,000 shares acquired at Rs.10). He negotiated a price of Rs.30 per share with a foreign investor who intends to hold company ABC. The transaction is reported to the stock exchange through the broker. In case the market price of such shares on that date of transaction is Rs.25, the capital gain shall be computed at the price of Rs.30 being higher of reported selling price and market price. Gain will be computed at Rs.20 per share (Rs.30 less Rs.10).

In case the market price of such shares on that date of transaction is Rs.35, the capital gain shall be computed at the price of Rs.35 being higher of reported selling price and market price. In this case gain will be computed at Rs.25 per share (Rs.35 less Rs.10).

(e) Transfer owing to acquisition

(i) Details of the transaction

Certain transactions in listed securities, fulfilling the rules and regulations, are entered into to acquire voting shares and takeovers under the Listed Companies (Substantial Acquisition of Voting Shares and Takeovers) Ordinance, 2002. Such transaction may be entered into at negotiated price or may be executed through the pricing mechanism of stock exchange.

(ii) Tax treatment

The actual selling price, negotiated or quoted, whichever is higher, in accordance with the provisions of relevant laws, as reduced by the cost of securities on FIFO basis, shall be taken as capital gain or loss and considering the example given in clause (a)(iii), any taxable gain shall attract collection of tax at applicable rate.

(f) Buy-back of shares

(i) Details of the transaction

Pursuant to section 95A of the Companies Ordinance, 1984, a company may buy back its shares from its shareholders. If an

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investor holding shares exercise option then shares held by him are transferred to the company.

(ii) **Tax treatment**

The transfer of shares under buy-back arrangement will be taken as disposal and the price paid by the company to acquire the shares shall be taken as sale price to compute capital gain and collect tax thereon, if such gain is taxable.

(g) **Transfer from one account of investor to his another account**

¹[(i) **Details of the transaction**

An investor holding securities in his one account transfers such securities to another. In case where securities are transferred from singly owned account to another singly owned account that may be maintained with same or different participant or from a joint account to another joint account with same combination of joint holders this will be treated as portfolio transfer as no change has occurred in overall portfolio of the investor. However, in case of transfer of securities from a singly owned or joint account to an account where ownership structure is different, such transfers shall be treated as disposal.

(ii) **Tax treatment**

In case of portfolio transfer where ownership of securities does not change, no capital gain tax shall be computed. In such a case the date and cost of acquisition of the securities shall not be changed owing to such portfolio transfer.

¹ Sub-clauses (i) and (ii) substituted by the SRO 1145(I)/2016 dated 7th December, 2016. The substituted sub-clauses read as follows:-

[(i) **Details of the transaction**

An investor holding shares in his one account transfers shares to another. In case where shares are transferred from singly owned account to another singly owned account that may be maintained with different participant or from a joint account to another joint account with same combination of joint holders this will be treated as portfolio transfer as no change has occurred in overall portfolio of the investor. However, in case of transfer of shares from a singly owned or joint account to an account where ownership structure is different, such transfers shall be treated as disposal.

(ii) **Tax treatment**

In case of portfolio transfer where ownership of shares does not change, no capital gain tax shall be computed. Whereas in all other cases, such transfer shall be treated as disposal and shall be taxed accordingly.]

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In all other cases, including transfer by investor from one fund in an Asset Management Company to another fund maintained by same or another Asset Management Company, such transfer shall be treated as disposal and shall be taxed accordingly.]

(h) Securities lending and borrowing (SLB)

(i) Details of the transaction

An investor borrows securities from a person holding such security for a specified period under an outright purchase and re-sale contract. Investor sells the borrowed security in the market and on or before contract completion date repurchases it to return to the lender. The borrowing investor while returning the security to the lender pays financial charges for the period of use of security.

(ii) Tax treatment

In accordance with rule 13L(1)(b), the net difference in the hands of the borrower resulting in completing the whole transaction, including the financial charges incurred on borrowing the securities, is to be treated as capital gain or loss, as the case may be. The income of the lender, being mark-up income, shall not be subject to capital gain tax.

(iii) Example

A borrowed 1,000 shares from B for short term. The agreed value of the borrowed shares is Rs.100 per share on which mark-up for the specified period is to be paid by the borrower at the time of returning the borrowed securities. A sold such borrowed securities at Rs.101 per share and subsequently on the date agreed to return the shares to the lender, re-purchased 1000 shares at Rs.90. At the time of settlement, the borrower also paid a sum of Rs.2 per share as mark up on borrowed security to the lender ¹ [(below rates are hypothetical and used solely for understanding purposes, therefore, rate as per Division VII of Part I of First Schedule will be applicable in case of actual transactions)].

¹ Added by the SRO 1145(I)/2016 dated 7th December, 2016.

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Net gain / loss of the borrower	No of shares	Price	Amount
Sale of borrowed shares	1,000	101	101,000
Repurchase of shares and returned to the lender	(1,000)	90	(90,000)
0.50% of sale proceeds as incidental expenses on sale			(505)
0.50% of repurchase price being incidental expenses on acquisition			(450)
Financial cost paid to the lender		2	(2,000)
Net gain / (loss)	<u>0</u>		<u>8,045</u>
Tax to be collected @ 10% on net gain			<u>804.50</u>
Financial income of the lender			<u>2,000</u>

No CGT to be collected 0

For the lender, on return of the borrowed shares by the borrower, the cost and date of acquisition shall remain the same as was before lending the shares to the borrower.

(i) Transfer / transmission upon death

(i) Details of the transaction

Upon death of an individual, the securities held are transferred to the executor or beneficiary.

(ii) Tax treatment

In accordance with section 79 of the Ordinance, no gain or loss is recognized on transmission of an asset to an executor or the beneficiary on the death of a person. Accordingly, no capital gain tax is required to be computed and collected at the time of such transfer. The date of acquisition and cost of the ¹[securities] in the hands of executor or beneficiary will be the same as was in the hands of deceased person.

(j) Transfer for / against GDRs

(i) Details of the transaction

A person holding shares of a company, for which GDR is issued, may deposit the shares with the Depository for issuance of shares. Conversely, the GDR issued may either be redeemed at

¹ The word "shares" substituted by the SRO 1145(I)/2016 dated 7th December, 2016.

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specified time or cancelled before time in which case the Depository issues shares to the GDR holder.

(ii) **Tax treatment**

When the person deposits shares into the Depository and get issued GDRs, the shares will be taken as disposed of and consequently, capital gain will be required to be computed. Since the value of GDRs issued will not be available to NCCPL, therefore, the market price (day-end price) of the date of transfer shall be taken as consideration received by the person for the purpose of computation and collection of capital gain tax.

Similarly, when GDRs are converted into shares, the deposit of shares in the person's account shall not be a taxable event, being an acquisition of shares. However, as the value for which GDRs converted into shares will not be available with NCCPL, therefore, the cost of acquisition for such shares shall be taken the market price (day- end price) of the date on which the shares are deposited.

(k) **Gift (to family members or to members other than family members)**

(i) **Details of the transaction**

Securities may be transferred from an investor's account to another account belonging to his family or another member not belonging to family by reason of a gift, by use of reason code established under Central Depository System ¹[or similar code in Asset Management Companies and PMEX system].

(ii) **Tax treatment**

In accordance with section 79 of the Ordinance, no gain or loss is recognized on disposal of an asset by reason of a gift of the asset. Accordingly, such transfer will not attract capital gain tax. The date of acquisition and cost of the securities shall remain same in the hands of transferee as were in the hands of transferor.

(l) **Reversal of erroneous transfers**

(i) **Details of the transaction**

¹ Inserted by the SRO 1145(I)/2016 dated 7th December, 2016.

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Sometime, securities may be transferred from one investor's account erroneously, which are then returned from the participants account to whom such erroneous delivery is made.

(ii) **Tax treatment**

If at the time of transaction such an error is not identified, NCCPL will compute and collect tax on transfer of ¹[securities] at first stage, if applicable. However, since subsequent reversal of erroneous transfers is not due to disposal therefore such rectification of mistake to correct the inventory in participants' accounts will not be considered as taxable event.

(iii) **Example**

A sold 500 shares which were bought by B. Erroneously, 5,000 shares were transferred from A's account to C's account. On detection of error, C' returns 5,000 shares to A and then A transfers 500 shares to B.

At the time of first transfer of 5,000 shares the system will record the transaction and compute capital gain tax, if applicable. Subsequent reversals, will be made through erroneous transfer reason code, and being there no actual disposal involved, no gain or loss shall be computed in the case of transfer of shares from C to A and then A to B.

The respective persons, if need arises, may seek adjustments for actual results in their return of income, including refund for excess collection of tax due to erroneous transfer by the investor.

(m) **Global custodian related market based transaction**

(i) **Details of the transaction**

Foreign institutional investors not only deal in shares for their own account but also on behalf of other investors through global custodians.

(ii) **Tax treatment**

²[CGT shall be charged to the final settlement account of the person settling the underlying trade and such clearing member shall be responsible to collect and deposit with NCCPL, CGT computed on such transactions].

¹ The word "shares" substituted by the SRO 1145(I)/2016 dated 7th December, 2016.

² Substituted for "Provisions of Eighth Schedule to the Ordinance shall not apply on the transactions of foreign institutional investor" by SRO 161(I)/2015, dated February 23, 2015.

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¹[(iii) Example:

ABC Company, a foreign institutional investor, sells 20,000 shares of XYZ Company on its own behalf and on behalf of other investors as follows ²[(below rates are hypothetical and used solely for understanding purposes, therefore, rate as per Division VII of Part I of First Schedule will be applicable in case of actual transactions)]:

Name	Qty	Capital Gain/ (Loss)	Holding Period (days)	Rate	Capital Gain Tax	First Settlement Account	Final Settlement Account for CGT Collection
ABC Co.	8,000	Rs.35,000	300	12.5%	Rs.4,375	ABC Company– Proprietary UIN	ABC Company
Mr. P	5,000	Rs.31,000	390	10%	Rs.3,100	ABC Company–IBD UIN	Mr. P
Mr. Q	3,000	Rs.(11,000)	410	NA	NA	ABC Company–IBD UIN	Mr. Q
Mr. R	4,000	Rs.27,000	750	0%	0	ABC Company– IBDUIN	Mr. R
Total	20,000				Rs,7,475		

As illustrated above, foreign institutional investors (ABC Company) sold shares, on its own behalf and on behalf of other investors. Thus, capital gain tax shall be charged to the final settlement account of the person settling the underlying trade and such clearing member shall be responsible to collect and deposit with NCCPL CGT computed on such transactions. Further, IBD UIN of foreign institutional investor used as a transitional account shall be exempt from capital gain tax.

Similarly, for purchase transactions, final settlement account shall be used for the purpose of inventory maintenance of the clients of foreign institutional investors and inventory shall not be maintained for the IBD UIN of foreign institutional investor.]

¹ Sub-clause (iii) inserted by SRO 161(I)/2015, dated February 23, 2015.

² Inserted by the SRO 1145(I)/2016 dated 7th December, 2016.

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(n) **Failure in delivery or payment**

(i) **Details of the transaction**

Where a person has sold the securities but unable to settle the transaction by delivery, as per stock market mechanism, the securities are bought from another investor and delivered to the buyer(s). The person in default is charged with certain penalties or charges for his failure to complete the transaction.

Similarly, a buyer may default in making payment for securities purchased. The securities so purchased by him are retrieved and sold to settle his liability towards the seller.

(ii) **Tax treatment**

Where the seller fails to deliver securities, and the transaction is settled by purchase of securities from another investor to settle the transaction, the person in default shall not be treated as seller of the securities in accordance with criteria of section 75 of the Ordinance. Rather, the person from whom the securities were purchased to settle the transaction is to be taken as person disposing the securities and accordingly he will be subject to capital gain tax, if applicable.

Where a buyer defaults in taking the delivery of security by not making payment due, the securities sold on his behalf will be taken as disposal by him and if any gain arises in the hands of buyer in default such gain will be subject to capital gain tax, if applicable.

(o) **Failed/ un-affirmed transaction**

(i) **Details of the transaction**

Clearing Member (CM) of one stock exchange (Originating CM) deals with a CM of another stock exchange (Transacting CM) for sale or purchase of shares. When, the Originating CM does not confirm the transaction to the NCCPL, NCCPL completes the transaction by executing sale or purchase through Transacting CM. To complete the transaction, shares are delivered to/from the account of Transacting CM.

(ii) **Tax treatment**

Since such transactions are settled by the Transacting CM, NCCPL shall compute capital gain in respect of such transaction from such Transacting CM.

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(p) **Pledge call**

(i) **Details of the transaction**

When a borrower defaults in payment to the lender, and ¹[securities] were pledged as collateral, the borrower is entitled to transfer such ²[securities] from the person in default to his own account.

(ii) **Tax treatment**

When the ³[securities] are transferred from the account of person in default to the lender's account, such transfer will be treated as disposal for tax purposes. The system price (day-end price) will be taken as deemed consideration for the purpose of computation of capital and tax thereon. Since no proceeds will be due to the person in default, thus, NCCPL may not be able to collect tax from such person. However, NCCPL shall report such capital gain and the amount tax, if any, in the statements.

⁴[(q) **Disposal of bonus shares**

(i) **Details of the transaction.-**

A company issues bonus shares to its shareholders, which are subsequently sold by the shareholder in the market.

⁵[(ii) **Tax Treatment.-**

¹ The word "shares" substituted by the SRO 1145(I)/2016 dated 7th December, 2016.

² The word "shares" substituted by the SRO 1145(I)/2016 dated 7th December, 2016.

³ The word "shares" substituted by the SRO 1145(I)/2016 dated 7th December, 2016.

⁴ Clause (q) substituted by SRO 161(I)/2015, dated February 23, 2015.

⁵ Sub-clause (ii) and (iii) substituted by SRO 1956(I)/2022 dated 24.10.2022. Substituted sub-clauses (ii) and (iii) read as follows:

"(ii) **Tax treatment.-**

Effective from July 1, 2014 for computation of capital gain tax, the cost of bonus shares would be the price prevailing on first day of book closure (ex-bonus price). Subsequently, when such bonus shares are disposed of, such cost will be taken for computation of capital gain and tax thereon. Similarly, the cost of old shares would remain same before and after bonus shares are issued, and when the old shares are disposed of, such cost will be taken for computation of capital gain and tax thereon, even if these are sold prior to the crediting of bonus shares in the shareholder's account, but after the date of entitlement of bonus shares.

(iii) **Example:-**

A, being a client of a broker, has 4 shares of company A in his account. He acquired these shares on the 1st January, 2015 at Rs.20 per share. On the same day i.e. 01-01-2015, the company declared bonus shares @ 25%, and date of entitlement of the shares was declared as 1-04-2015 and the shares were to be credited in the account of A on 15-5-2015. The market value (ex-bonus price) of these shares on 31-03-2015 is Rs.25 per share. He disposed of 2 shares on the 15th April, 2015 at Rs.20 per share and the remaining 3 shares (including bonus share) @ Rs.20 on the 18th May 2015.

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Bonus Share Entitlement prior to the 1st July, 2014 or from 1st July, 2018 onwards: -

Where bonus share entitlement is prior to the first day of July, 2014 or from the first day of July, 2018 onwards, the cost of such shares shall be computed by spreading the cost of old shares over the old shares plus the bonus shares taken together. This cost of a share shall be the same for the old shares and the new shares. Subsequently, when such bonus shares are disposed of, such cost shall be taken for computation of capital gain and tax thereon. Similarly, the cost of old shares shall be taken the same as for bonus shares, and when the old shares are disposed of, such cost shall be taken for computation of capital gain and tax thereon, even if these are sold prior to the crediting of bonus shares in the shareholder's account, but after the date of entitlement of bonus shares.

The cost of acquisition is deemed to include 0.50% of the acquisition cost as incidental expenses incurred and sale proceeds are deemed to include 0.5% of the consideration as incidental expenses.

NCCPL shall collect CGT as per following example ^{5]}[(below rates are hypothetical and used solely for understanding purposes, therefore, rate as per Division VII of Part I of First Schedule will be applicable in case of actual transactions)]:

Purchases /Acquisitions				Disposal		
Date	No. of shares	Price	Cost*	15 Apr 2015	18 May 2015	Total
1-Jan-15	4	20	80	2		2
1-Jan-15	Bonus shares issued @ 25% (Date of entitlement 01-04-15) (Date of credit 15-05-2015)				3	3
1-Apr-15	4	20	80			
15-May-15	1	25	25			
				2	3	5]
Selling price per share				20	20	
Sale proceed				40	60	100
Less: Cost				40	65	105
				0	(5)	(5)

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Example. – A, being a client of a broker, acquired 400 shares of company B in his account. He acquired these shares on 01-01- 2019 at Rs. 30 per share. On the same day i.e. 01-01-2019, the company declared bonus shares @ 25%, and date of entitlement of the shares was declared as 1-04-2019 and the shares were to be credited in the account of A on 15-5-2019. He disposed off 300 shares on the 15-06-2019 at Rs. 35 per share.

NCCPL shall compute capital gains as per following example:-

Purchases /Acquisitions				Disposal	
Date	No. of shares	Price	Cost	15-Jun-19	Total
1-Jan-19	400	30	12,000	300	300
1-Jan-19	Bonus shares issued @ 25%				
After entitlement					
1-Jan-19	400	24	9,600		
15-May-19 (Bonus)	100	24	2,400		
				300	300
Selling price per share				35	
Sale proceed				10,500	
Less: Cost				7,200	
Capital Gain				3,300	

Bonus Share Entitlement during the 1st July, 2014 till the 30th June, 2018:-

From the first day of July, 2014 till the thirtieth day of June, 2018 for computation of capital gain tax, the cost of bonus shares shall be the price prevailing on first day of book closure (ex-bonus price). Subsequently, when such bonus shares are disposed of, such cost shall be taken for computation of capital gain and tax thereon. Similarly, the cost of old shares 'shall remain same before and after bonus shares are issued, and when the old shares are disposed of, such cost shall be taken for computation of capital gain and tax thereon, even if these are sold prior to the crediting of bonus shares in the shareholder's account, but after the date of entitlement of bonus shares.

Example. - A, being a client of a broker, has 400 shares of company B in his account. He acquired these shares on the 1st January, 2015 at Rs.20 per share. On the same day i.e. 01-01- 2015, the company declared bonus shares @ 50%, and date of entitlement of the shares was declared as 1-04-2015 and the shares were to be credited in the

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account of A on 15-5-2015. The market value (ex-bonus price) of these shares on 31-03-2015 is Rs.25 per share. He disposed of 500 shares on the May 20, 2015 at Rs.30 per share.

NCCPL shall compute capital gains as per following example: -

Purchases /Acquisitions				Disposal	
Date	No. of shares	Price	Cost	20-May-15	Total
1-Jan-15	400	20	8000	500	500
1-Jan-15	Bonus shares issued @ 50%				
1-Apr-15	400	20	8000		
15-May-15 (Bonus)	200	25	5000		
				500	500
Selling price per share				30	
Sale proceed				15,000	
Less: Cost				10,500	
Capital Gain				4,500]	

(r) Right issue

(i) Details of the transaction

A Company may grant letter of rights to its shareholders to acquire further shares in the company at a given price. Such rights are credited to the respective shareholders account and such rights are also traded on stock exchange. A shareholder granted the right, or an investor who bought the right from the stock market, subscribe the shares of the company by making payment of given price of the shares. Shares so acquired may then be disposed of.

¹[(ii) Tax treatment. –

¹ Sub-clause (ii) substituted by S.R.O. 1956(I)/2022 dated 21.10.2022. Substituted sub-clause (ii) read as follows:

“(ii) Tax treatment

When a person disposes of Letter of Rights (LORs) before subscription, the sale proceeds shall be treated as capital gain. Upon expiry/exercise of right, the disposal of LORs shall be recorded at zero price for the purpose of computation of CGT. Whereas normal sale/purchase of LORs shall be treated in a same manner as provided in clause (a).

When a person disposes shares acquired through right, the subscription cost of the right shares shall be treated as cost of acquisition of such shares and capital gain or loss shall be computed accordingly.”

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The sale proceeds of letter of rights (LoR) or rights shares shall be the market price of the LoRs or rights shares as received by the investor.

Cost of acquisition of LoRs shall be the price paid, if any, by the investor to acquire such LoRs.

Cost of acquisition of the right shares shall be the price paid by the investor to acquire those right shares, including price paid for acquisition of LoRs:

Provided that where right shares are not credited on or before 45 days from date of delisting of LoRs by CDC, these LoRs shall be deemed as disposed of at zero price.

Capital gain or loss on disposal of LoRs or rights shares shall be computed as difference of consideration received from disposal and the cost of acquisition.]

¹[(iii) Example. -

Particulars

LoR Allotment Price	0
LoR Price - Purchased from Market	5.00
LoR Price - Sold in Market	12.00
Right Share subscription price	25.00
Right Shares Price - Sold in Market	40.00

Case A: Investor A is allotted 100 LoRs. He disposes of 12 LoRs, subscribes 70 LoRs, does not exercise remaining 18 LoRs and sells 10 right shares.

Case B: Investor B purchases 100 LoRs. He disposes of 12 LoRs, subscribes 70 LoRs, does not exercise remaining 18 LoRs and sells 10 right shares.

Particulars	Case A	Case B
Cost of acquisition of 100 LoRs	-	500.00
Capital Gain on disposal of 12 LoRs	144.00	84.00
Cost of acquisition of 70 Right shares	1,750.00	2,100.00
Capital loss on not exercising 18 LoRs	-	(90.00)
Capital Gain on disposal of 10 Right shares	150.00	100.00]

¹ Sub-clause (iii) inserted by S.R.O. 1956(I)/2022 dated 21.10.2022.

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(s) Merger

(i) Details of the transaction

Securities are moved pursuant to order or directive of authorities like SECP, SBP, High Court etc.

(ii) Tax treatment

Since no change of ownership of the shareholder is involved therefore such transfer will not be taken as taxable event and no CGT will be collected on such transfer.

(iii) Example

A holds 1,000 shares in ABC which he acquired at Rs.10 each on the 1st January, 2013. ABC merged into company XYZ through scheme approved by the High Court. XYZ issues 1 share for each 2 shares of company ABC. Consequently, in A's account, 1,000 shares in company ABC are replaced with 500 shares of company XYZ. The extinguishment of 1,000 shares in company ABC will be treated as tax neutral event, and 500 shares in XYZ will have the same cost base i.e. Rs.10,000 (Rs.20 per share). If subsequently, A sells shares of XYZ, capital gain will be computed taking into account the date of acquisition i.e. the 1st January, 2013. ¹[Similar treatment shall be applicable in case of merger of funds consequent of an order of court or SECP.]

(t) De-merger

(i) Details of the transaction

Consequent to the order of the court, SECP or State Bank of Pakistan, a company may de-merged and split into two companies. Consequently, the shareholding of existing company is also divided into shares of the two companies i.e. existing company and the new company. In Central Depository System, in a shareholders account the existing company's shareholding is reduced to the revised shareholding whereas new shareholding in the new company is also recognized.

(ii) Tax treatment

Pursuance to section 97A of the Ordinance, the splitting will be tax neutral event. The cost base of existing shareholding shall be divided in proportion to the revised shareholding in the existing company and the new company. The date of acquisition of

¹ Added by the SRO 1145(I)/2016 dated 7th December, 2016.

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shares in the existing company will remain same for the revised shareholding in the two companies ¹[Similar treatment shall be applicable in case of demerger of funds consequent of an order of court or SECP.]

(u) Capital reduction / Splitting of shares / Conversion

(i) Details of the transaction

A company may consider reducing its paid capital or splitting the ²[securities] under the relevant laws. In such, the existing ³[investors] are either required to surrender the existing ⁴[securities] and obtain new ⁵[securities] in the ratio approved, or the existing ⁶[securities] are divided into specified numbers of new ⁷[securities].

(ii) Tax treatment

Since the existing ⁸[investors] are issued with new ⁹[securities] in exchange of their existing ¹⁰[securities] due to the corporate requirements, and no change in ownership occurs, therefore, the cancellation of existing ¹¹[securities] is not to be treated as 'disposal' for tax purposes. Further, the cost and date of acquisition of new ¹²[securities] will remain same, as it was for existing ¹³[securities].

(v) Specie dividend

(i) Details of the transaction

A company declares dividend in specie, whereby, the dividend is paid in the form of shares in a company (other than the shares of the company declaring dividend). Such shares held in the account of the company are transferred to the respective shareholders' account. The shareholders who received such shares in other company may then dispose of such shares.

¹ Added by the SRO 1145(I)/2016 dated 7th December, 2016.

² The word "shares" substituted by the SRO 1145(I)/2016 dated 7th December, 2016.

³ The word "shareholders" substituted by the SRO 1145(I)/2016 dated 7th December, 2016.

⁴ The word "shares" substituted by the SRO 1145(I)/2016 dated 7th December, 2016.

⁵ The word "shares" substituted by the SRO 1145(I)/2016 dated 7th December, 2016.

⁶ The word "shares" substituted by the SRO 1145(I)/2016 dated 7th December, 2016.

⁷ The word "shares" substituted by the SRO 1145(I)/2016 dated 7th December, 2016.

⁸ The word "shareholders" substituted by the SRO 1145(I)/2016 dated 7th December, 2016.

⁹ The word "shares" substituted by the SRO 1145(I)/2016 dated 7th December, 2016.

¹⁰ The word "shares" substituted by the SRO 1145(I)/2016 dated 7th December, 2016.

¹¹ The word "shares" substituted by the SRO 1145(I)/2016 dated 7th December, 2016.

¹² The word "shares" substituted by the SRO 1145(I)/2016 dated 7th December, 2016.

¹³ The word "shares" substituted by the SRO 1145(I)/2016 dated 7th December, 2016.

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(ii) Tax treatment

When a person will be transferring shares in other company to its shareholders as specie dividend, then such shares will be taken as disposed of and will be subject to capital gain tax.

The shares will be added in the share holders' account and the cost ¹[of such shares shall be taken as zero], whereas, the acquisition date will be the date on which shares are credited. Such cost base shall be taken into account for computation of gain or loss at the time of disposal of shares received as specie dividend and original shares.

(w) Offer for sale

(i) Details of the transaction

Pursuant to section 61 of the Companies Ordinance, 1984, transactions for issuance or sale of securities can be carried out as offer for sale.

(ii) Tax treatment

When securities are issued by the company under offer for sale, the issuance is not a taxable event. The date on which such securities are credited to the investor's account shall be taken as acquisition date and the price paid for acquiring such securities shall be taken as cost of acquisition of such securities. Such date and cost base shall then be considered for computation of capital gains tax if such securities are disposed of by the investor subsequently.

If under offer for sale, a person disposes of securities held by him, then such disposal will be taxable event and subject to capital gains tax.

(x) Court orders

(i) Details of the transaction

There could be certain orders of the courts whereby transfer of securities may be required from an investor's account to another investor's account or any other person, e.g. deposit of securities with Nazir of the Court, transfer of securities in case of dispute among legal heirs, award of decree etc. etc.

¹ Substituted for "will be calculated as calculated for Bonus shares in Example 1.17.3," by SRO 161(I)/2015, dated February 23, 2015.

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(ii) Tax treatment

Capital gains tax on transfer under a court order will depend on the contents of the order. For example, in case of an order in dispute among legal heirs, the transfer of securities may not be taxable being covered under section 79 of the Ordinance. Similarly, in case of mergers or de-mergers, transfers would be tax neutral event. Whereas, in case of a decree against an investor, transfer of securities from his account may constitute taxable event.

NCCPL shall be responsible to compute capital gains tax, where a clearing member report transfer under a court order as taxable event through Central Depository System.

(y) Computation of investment amount for the purpose of rule 2 of the Eighth Schedule to the Ordinance

The period of investment and amount eligible under rule 2 of Eighth Schedule to the Ordinance shall be determined as per following examples ¹ [(below rates are hypothetical and used solely for understanding purposes, therefore, rate as per Division VII of Part I of First Schedule will be applicable in case of actual transactions)]:

Example-1

Statement of Net Investment With Age - clause 2(1) of Eighth Schedule						
Date	Description	Cost of Investment	Value of open Derivatives Sale Position	Net Investment	No of days	Accumulative Investment
23-Apr-12	Opening Balance	5,000,000	1,000,000	4,000,000	24	4,000,000
17-May-12	Disposal	2,000,000)	-	2,000,000)	8	3,000,000
25-May-12	Disposal	-	1,500,000	1,500,000)	12	1,500,000
06-Jun-12	Acquisition	4,000,000	-	4,000,000	17	7,000,000
23-Jun-12	Disposal	5,000,000)	-	5,000,000)	7	2,000,000
30-Jun-12	Closing balance	2,000,000				

Sorted in Descending Order		Calculation of Time Weighted Average			
No of days	Accumulative Investment	No of days	Accumulative Investment	Product	Time Weighted Average
17	7,000,000	17	7,000,000	119,000,000	
24	4,000,000	24	4,000,000	96,000,000	

¹ Inserted by the SRO 1145(I)/2016 dated 7th December, 2016.

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8	3,000,000	4	3,000,000	12,000,000	
7	2,000,000	45		227,000,000	
12	1,500,000	Time Weighted Average = Total product/No of days			5,044,444

As per clause 2(1), of the Eighth Schedule, amount of investment made prior to April 23, 2012 shall be considered as investment for the purposes of the said clause. The investment has to remain invested for at least 45 days. The above example indicate that amount invested has increased during the 45 days and therefore it is established that the amount of investment as on April 23, 2012 i.e. Rs.4,000,000 remains invested for 45 days till June 30, 2012. If it has been decreased from Rs.4,000,000, the decreased amount should have been taken for the purposed of the said clause 2(1).

Example-2

Statement of Net Investment With Age - clause 2(2) of the Eighth Schedule						
Date	Description	Cost of Investment	Value of open Derivatives Sale Position	Net Investment	No of days	Accumulative Investment
24-Apr-12	Acquisition	10,000,000	-	10,000,000	14	10,000,000
08-May-12	Disposal	(2,000,000)	500,000	(2,500,000)	17	7,500,000
25-May-12	Disposal	(3,000,000)	-	(3,000,000)	30	5,000,000
24-Jun-12	Acquisition	4,000,000	-	4,000,000	29	9,000,000
23-Jul-12	Disposal	(1,000,000)	1,500,000	(2,500,000)	258	6,500,000
07-Apr-13	Acquisition	500,000	-	500,000	416	8,500,000
28-May-14	Disposal	(6,000,000)	-	(6,000,000)	31	2,500,000
28-Jun-14	Acquisition	12,000,000	-	12,000,000	1	14,500,000
29-Jun-14	Disposal	(2,000,000)	3,000,000	(5,000,000)	1	9,500,000
30-Jun-14	Closing balance	12,500,000	5,000,000	7,500,000		

Sorted in Descending Order	
No of days	Accumulative Investment
1	14,500,000
14	10,000,000
1	9,500,000
29	9,000,000
416	8,500,000
17	7,500,000
258	6,500,000

Calculation of Time Weighted Average			
No of days	Accumulative Investment	Product	Time Weighted Average
1	14,500,000	14,500,000	
14	10,000,000	140,000,000	
1	9,500,000	9,500,000	
29	9,000,000	261,000,000	
75	8,500,000	637,500,000	
120		1,062,500,000	

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30	5,000,000		
31	2,500,000		8,854,167
		Time Weighted Average = Total product/No of days	:]

¹[(z) Free of Payment transactions (transactions executed outside Pakistan).

Certain foreign institutional investors holding shares may sell through negotiated deal at a price agreed with the buyer outside Pakistan e.g. a strategic sale and purchase of shares to acquire or dispose of controlling shares. Such transactions are reported to respective clearing member of foreign institutional investors to transfer the shares from seller account to buyer account. In such transactions, respective clearing member does not know the transaction price and merely transfers shares from one account to other on the instructions of its foreign client.

Respective clearing member receiving the instructions from foreign institutional investors shall be responsible to report such transactions in the negotiated deal market at the relevant stock exchange through a stock broker in the manner prescribed by such stock exchange or through reporting interface provided by NCCPL for this purpose. The price reported as selling price or the market price (day-end price of the date of transaction), whichever is higher, shall be taken into account to compute capital gain on the basis of holding period of such securities as illustrated in clause (d).

(za) Capital gains on disposal of debt security

Tax treatment

By including debt securities in the definition of security in section 37A, the gain or loss on disposal of debt securities shall be computed, collected and paid as provided in Eighth Schedule, unless opted out with the approval of Commissioner. However companies shall not be subject to this regime and will continue to be taxed as in the past with the rates applicable to the companies and not the rates as amended in Division VII of Part I of First Schedule. Individuals on the other hand shall be subject to mechanism as laid down in the Eighth Schedule to the Ordinance, in respect of debt securities for which settlements are undertaken by NCCPL.]

¹ Clauses "(z) and (za)" inserted by SRO 161(I)/2015, dated February 23, 2015.

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¹[(zb) Sales transactions of securities of private/public unlisted company after its conversion into listed company:-

(i) Detail of the transaction

An investor, holding such securities, sells securities in a stock exchange. The transaction is settled by transferring the securities sold from his account maintained in Central Depository System to the investor buying the securities with credit of sale proceeds to the account of investor disposing of the securities.

(ii) Tax treatment

Disposal of security is to be taken as taxable event, at settlement date. ²[The capital] gain will be computed by applying FIFO method. Capital Gain shall be chargeable to tax as per section 37A read with rates specified in Division VII of Part I of the First Schedule of the Income Tax Ordinance, 2001.

³[(iii) Example. -

¹ Inserted by the S.R.O. 498(I)/2016 dated 27th July, 2016.

² The word "Capital" occurring for the first time, substituted by S.R.O. 1570(I)/2022 dated 22.08.2022.

³ Sub-clause (iii) substituted by S.R.O. 1570(I)/2022 dated 22.08.2022. Substituted sub-clause (iii) read as follows:

"(iii) Example

- (a) A, being a client of a broker, has 1,000 shares of company ABC in his account. He acquired 1,000 shares on the 1st January, 2013 at Rs. 10 per share when the Company was private/public unlisted company having face value of share of Rs. 10 and transfers the same in electronic form with CDC on 1st February, 2013. ABC Company listed on stock exchange on 1st July, 2015 at a listing price of Rs. 20. He disposed of 500 shares on 1st January, 2016 at Rs. 25 per share and 500 shares on 8th February, 2017 at Rs. 30 per share.
- (b) NCCPL shall compute capital gain and tax thereon, if any in the following manners:
- (c) Date of acquisition will be based on CDS data while face value will be entered as cost of acquisition from ready board quotations:

Purchases / Acquisitions				Disposal		
Date	No. of shares	Price	Cost*	1 st Jan, 2016	8 th Feb, 2017	Total
1-Jan-13	1,000	10	10,000	500	500	1,000
Selling price per share				25	30	
				=====		
Sale proceed				12,500	15,000	27,500
Less: Cost				5,000	5,000	10,000
Difference				7,500	10,000	17,500
Less: 0.50% of sale proceeds as expense				62.50	75	137.5
Capital gain				7,437.5	9,925	17,362.5
				=====		
Holding period				1,095	1,499	
				=====		
Tax rate applicable				7.5%	0%	
				=====		
Tax to be collected				557.81	-	

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- (a) A, being a client of a broker, has 1,000 shares of company ABC in his account. He acquired 1,000 shares on the 1st January, 2013 at Rs. 10 per share when the Company was private/public unlisted company having face value of share of Rs. 10 and transfers the same in electronic form with CDC on 1st February, 2013. ABC company initiated the listing process at stock exchange on the 1st April, 2015 and offered shares to investors during initial public offer ("IPO") period at IPO price of Rs 15. Mr. A acquired 500 shares of ABC Company during IPO period. ABC company listed on stock exchange on the 1st July, 2015 at a listing price of Rs. 20. Mr. A acquired 500 shares of ABC company from stock market on the 1st day of September, 2015 at Rs. 22 per share. He disposed of 500 shares on the 1st January, 2022 at Rs. 25 per share, 1,000 shares on the 8th February, 2022 at Rs. 30 per share and 500 shares on the 1st March, 2022 at Rs. 35 per share.
- (b) NCCPL shall compute capital gain and tax thereon, if any, in the following manner:-
- (c) Date of acquisition will be based on CDC data while face value will be entered as cost of acquisition for shares acquired before IPO period, whereas cost of acquisition for shares acquired during IPO period shall be the IPO price.

Date	Purchases/ Acquisitions			Disposal		
	No. of Shares	Price	Cost	1 st Jan, 2022	8 th Feb, 2022	1 st March, 2022
1 st Jan 2013	1000	10	10,000	500	1,000	500
1 st April 2015	500	500	7,500			
1 st Sep 2015	500	500	11,000			
	Selling Price per Share			25	30	35
	Sale Proceed			12,500	30,000	17,500
	Less: Cost			5,000	12,500	11,000
	Difference			7,500	17,500	6,500

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	Less: 0.5% of Sales Proceed as Expense	62.5	150	87.5
	Capital Gain	7,435.5	17,350	6,412.5
	Tax Rate Applicable	12.5%	12.5%	12.5%
	Tax to be Collected	929.68	2,168.7	801.5

]

¹[(zc) Setoff of losses in case of investors having securities of multiple categories: Details of transaction:

An investor holds various securities i.e. shares of company listed in Pakistan Stock Exchange [PSX], units of open ended mutual funds and future commodity contracts traded at PMEX exchange. The investor has arrived at capital gain in case of certain securities while also incurred capital loss on other securities that is eligible for setoff with capital gain arrived at during the period on other securities.

(i) Tax Treatment:

Effective from 1 July 2016, units of open ended mutual funds and future commodity contracts are brought in the ambit of Eighth Schedule under NCCPL. Accordingly the investors will be entitled to have the capital loss adjusted against the capital gain in terms of Rule 13N(6) while NCCPL will calculate capital gain tax liability of net capital gain position i.e. after adjustment of capital losses for the year in terms of Rule 13N(10).

(ii) Example:

The examples in respect of above are given below (below rates are hypothetical and used solely for understanding purposes, therefore, rate as per Division VII of Part I of First Schedule will be applicable in case of actual transactions):

Example 1:

Client Name: Ahmed Ali
UIN: 352021111119
Financial Year: July 2016 to June 2017
Month: September 2016

Description	Tax Obligation AMC-FUND-1		Tax Obligation PMEX		Tax Obligation PSX		Net Tax Obligation	
	Gain/(Loss)	Tax	Gain/(Loss)	Tax	Gain/(Loss)	Tax	Gain/(Loss)	Tax
Tax Position computed by NCCPL	100,000	10,000	200,000	20,000	(150,000)	0	150,000	15,000

¹ Inserted by the SRO 1145(I)/2016 dated 7th December, 2016.

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Loss Allocation	(50,000)		(100,000)		150,000	0		
Net Tax	50,000	5,000	100,000	10,000	0	0	150,000	15,000
Tax Collection Demand		5,000		10,000				

In the above example, after adjustment of capital loss proportionally (In proportion of capital gains) during the month, NCCPL shall demand Rs 5,000 from AMC-1 and Rs 10,000 from PMEX.

Example 2:

Client Name: Ahmed Ali
 UIN: 352021111119
 Financial Year: July 2016 to June 2017
 Month: February 2017

Balance as of December 31, 2016		CGT Computation PSX- February 2017		CGT Computation- PMEX- January 2017		Net CGT as of February 2017	
Gain/(Loss)	CGT collection from PMEX	Gain/(Loss)	CGT	Gain/(Loss)	CGT	Gain/(Loss)	CGT
100,000	10,000	50,000	5,000	(70,000)	NIL	80,000	8,000

In the above example, it is assumed that CGT of Rs. 10,000 has been collected by NCCPL from PMEX till December, 31 2016. Now, in the month of February, the investor has capital gains arising on disposal of listed securities at PSX and resulting tax liability on such gains Rs 5,000. However, due to net loss of Rs. (70,000) as reported by PMEX for respective investor, NCCPL will determine net capital gain of Rs. 80,000 (100,000+50,000-70,000) as at February 28, 2017 with net tax liability of Rs. 8,000. But as NCCPL has already collected Rs 10,000 from PMEX as at December 31, 2016 therefore, NCCPL will refund Rs. 2,000 (10,000-8000) to the PMEX.]

¹[(zd) Future Commodity contracts entered into by the member of PMEX:

(i) Details of transaction:

A member of PMEX has entered into future commodity contracts which are traded at PMEX. These can either be settled in cash or through actual settlement. Capital gains tax would have to be worked out in accordance with applicable legal framework.

(ii) Tax Treatment:

¹ Inserted by the SRO 1145(I)/2016 dated 7th December, 2016.

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Effective from 1 July 2016, future commodity contracts entered into by the member of PMEX are brought in the ambit of Eighth Schedule under NCCPL. Accordingly NCCPL will calculate and determine capitals gain tax liability on these contracts in terms of Rule 13N.

(iii) Examples:

The examples in respect of above are as under (below rates are hypothetical and used solely for understanding purposes, therefore, rate as per Division VII of Part I of First Schedule will be applicable in case of actual transactions):

Example 1. Cash settled future commodity contracts:

Capital Gain Loss and CGT Working

Date	Transaction	No of contracts	Contract Price \$	Day end Price (\$)	Exchange Rate (USD to PKR)	Gain/ (Loss) in USD	Gain/ (Loss) in PKR	CGT @ 5%
		A		B	C			
7/1/2016	Purchase	1	14.5	15	105	0.50	52.50	2.63
7/2/2016				15.5	105.5	0.50	52.75	2.64
7/3/2016				14.9	105.3	(0.60)	(63.18)	(3.16)
7/4/2016	Sale	1	16	16.5	105.3	1.10	115.83	5.79
Total						1.50	157.90	7.90

Example 2. Delivery settled future commodity contract- Contract sold before settlement date without physical delivery:

Investor	Date	Transaction	Contract Name	Quantity	Price Rs
A	1-Jul-16	Purchase	TOLA GOLD MON	1	50,100
A	4-Jul-16	Sale	GOLD GOLD MON	1	52,500
Gain on sale					2,400
Applicable tax rate					5%
Capital gain					120

Example 3. Delivery settled future commodity contract- Settled at settlement dates:

Investor	Trade Date	Settlement Date	Transaction	Contract Name	Quantity	Price PKR
A	1-Jul-16	8-Jul-16	Purchase	TOLA GOLD FRI	1	50,100
A	4-Jul-16	11-Jul-16	Purchase	TOLA GOLD MON	1	51,000

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A	11-Jul-16	13-Jul-16	Sale	TOLA GOLD WED	1 Tola	52,500
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Commodity Name	Units	Inventory Date	Inventory Value
Tola Gold	1 Tola	8-Jul-16	50,100
Tola Gold	1 Tola	11-Jul-16	51,000
Average value			50,550

Monday Contract is settled on next Monday and Tuesday contract on next Tuesday. Upon settlement, funds and inventory is moved.

Capital Gain Loss Computation

Sale Quantity	1 Tola
Selling Price	52,500
Sale Value	52,500
Less : Cost	50,100
Capital Gain / (Loss)	2,400
Tax rate applicable	5%
Tax to be collected	120

Example 4. Delivery settled future commodity contract- Settled at settlement dates:

Opening Inventory at June 30, 2016

Commodity Name	Units	Inventory Date	Purchase Price	Inventory Value
Tola Gold	5 tola	5-Jan-16	52,000	260,000
Tola Gold	10 tola	12-Mar-16	51,500	515,000

Purchase after June 30, 2016

Commodity Name	Units	Inventory Date	Purchase Price	Inventory Value
Tola Gold	1 Tola	8-Jul-16	50,100	50,100
Tola Gold	1 Tola	11-Jul-16	51,000	51,000

Total Inventory for sale

Commodity Name	Units	Inventory Date	Purchase Price	Inventory Value
Tola Gold	5 tola	5-Jan-16	52,000	260,000
Tola Gold	10 tola	12-Mar-16	51,500	515,000
Tola Gold	1 Tola	8-Jul-16	50,100	50,100
Tola Gold	1 Tola	11-Jul-16	51,000	51,000

17

876,100

In this case, capital gain loss in the above mentioned example 3, on 13-Jul-2016 shall be computed as under :

Capital Gain Loss Computation

Sale Quantity	1 Tola
Selling Price	52,500
Sales Value	52,500
Less : Cost	52,000
Capital Gain / (Loss)	500
Tax rate applicable	5%
Tax to be collected	25

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Example 5. Deposit of commodity and sale thereof:

		Contract Day end Price
1-July-2016	Monday	50,150

In this case deemed value of 10 tola gold deposited on July 1, 2016 shall be as under :

Commodity Name	Units	Inventory Date	Deemed Purchase Price	Inventory Value
Tola Gold	10 Tola	1-Jul-16	50,150	501,500

Capital Gain Loss Computation

Sale Quantity	4 Tola
Selling Price	52,500
Sale Value	210,000
Less : Cost	200,600
Capital Gain / (Loss)	9,400
Tax rate applicable	5%
Tax to be collected	470

Example 6. Physical commodity deposited but withdrawn later:

An investor deposits 10 tola gold on July 1, 2016 in the vault and withdraws 5 Tola after 4 days.

The withdrawal would be considered as a tax neutral event. No capital gains tax implications would arise. The remaining inventory would be valued at applicable cost for the purpose of any future capital gains tax calculation.]

¹[(ze) Acquisition of shares in Book Building /Initial Public Offer (IPO) and subsequent sale:

(i) Details of the transaction:

Shares are offered by company in an IPO including book building. The shares are subscribed and allotted at the applicable price. These can later be sold by the investors.

(ii) Tax treatment:

Capital gain will be computed by applying FIFO method. Capital Gain shall be chargeable to tax as per section 37A read with rates specified in Division VII of Part I of the First Schedule of the Income Tax Ordinance, 2001.

¹ Inserted by the SRO 1145(I)/2016 dated 7th December, 2016.

CHAPTER - II DETERMINATION OF INCOME - HEADS OF INCOME

(iii) Example:

XYZ Company offered shares in an IPO on 1 June 2016 and the company's shares started trading at PSX from 15 July 2016. Mr. A, has acquired 1,000 shares having a face value of Rs 10 each at Rs20 per share being the publically offered IPO price. The shares have been sold at PSX on 30 June 2019 at Rs 70 per share.

Capital gains tax will be calculated as follows. (The tax rate used in this example is hypothetical. In case of actual transaction the rates as per Division VII of Part I of the First Schedule at the time of sale shall be applicable).

Cost of acquisition	(1,000 x 20)	Rs 20,000
Sales proceeds	(1,000 x 70)	Rs. 70,000
0.5% of sales proceeds as expense		Rs 350
Capital gain		Rs 49,650
Holding period		1124 days
Applicable rate		7.5%
Capital gains tax liability		Rs 3,724]

¹[(zf) Carry forward of Losses on disposal of listed securities,

(i) Details of the transaction

Mr. A has a carry forward Capital Loss of PKR 2 million for TY 2019 and PKR 0.2 million for TY 2020. The transaction(s) executed during TY 2021 resulted in net gain of PKR 3.3 million.

(ii) Tax Treatment

The taxpayer will be entitled for adjustment of prior years' capital losses on FIFO basis subject to condition that the capital loss for the current year (if any) will be set-off first. Moreover, the taxpayer would only become entitled for adjustment of carried forward losses after the returns for tax years 2019 and 2020 have been filed and the ATL for that tax years have been updated on the basis of returns for the relevant tax year.]

¹ Clause (zf) added by S.R.O. 801(I)/2021 dated 24.06.2023.

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¹[PART IV COMPUTATION AND COLLECTION OF TAX UNDER SECTIONS 7C AND 7D

13Q. Application.- This Chapter provides for the mode and manner for collection of tax under sections 7C and 7D from builders and developers, the functions and responsibilities of the authorities approving, suspending and cancelling No Objection Certificates (NOC) to sell and the matters connected and ancillary thereto.

13R. Definitions.- For the purpose of sections 7C and 7D and for this Chapter,-

- (a) “authority” includes:—
 - (i) the Chief Executive of a building control authority as defined in respective Federal or Provincial law regarding approval, construction and completion of buildings and development of land; or
 - (ii) the Executive Officer of the Cantonment where the Cantonments Act, 1924 (Act II of 1924) applies; or
 - (iii) the Executive Officer of a municipal corporation or municipal committee responsible for approving land development or building construction plan within municipality; or
 - (iv) the District Officer (Revenue) of a district responsible for approving land development or building construction plan within district; or
 - (v) a body corporate or council, or any department of such body corporate or council, or any Government department or functionary or any organization which acts as an authority for approving the building or land development plans for such area by or under any law.
- (b) “builder” means a builder as defined in the Federal and respective Provincial laws regarding approval, construction and completion of buildings and includes any person engaged in the construction of building or otherwise and disposes of newly constructed or renovated building within a year of its construction or renovation;
- (c) “building” means a building or part thereof and includes all fittings, fixtures, installations, signs and display structures of the building, but does not include any building notified by the Board.

¹ Added by the S.R.O 787(I)/2016 dated 24th August, 2016.

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Explanation.- It is hereby declared and without limiting the generality of this clause that building includes any building whether house, apartment, residential plaza, shopping plaza, office, shop, bungalow, villa, duplex or any built up structure under whatever name.

- (d) “developer” means a developer as defined in the Federal and respective Provincial laws regarding development of land for the purposes of residential or commercial plotting and includes any person engaged in developing of plot or plots of any kind either for itself or otherwise but does not include any land development notified by the Board.
- (e) “Inspector General of Registration” means Inspector General of Registration as defined in Part II of Registration Act, 1908 (XVI of 1908) and includes Provincial Inspector Generals of Registration, Registrars and Sub-Registrars of districts and sub districts, towns as notified by the provincial governments.

13S. Advance tax on builders and developers.- Every authority prescribed under sub-rule (a) of rule 13R shall, at the time of approval of a land development plan or of a building construction plan and before issuing NOC to sell, collect advance tax at the rate of five percent of the tax liability computed at the rates specified in Division VIIIA or Division VIIIB of Part I of the First Schedule to the Ordinance, from a builder or a developer as the case may be.

13T. Mode and manner for payment and collection of tax from builders.— Every builder after obtaining approval of a building plan or of a revised building plan from the authority and NOC to sell, shall furnish on line a copy of building plan and evidence of partial payment of five percent tax to the Chief Commissioner along with computation of final tax liability on the basis of covered area as per rates provided in Division VIIIA of the First Schedule to the Ordinance. The Chief Commissioner shall, after being satisfied that the rates are applied correctly and after making such inquiry as he thinks fit, shall online issue a schedule of advance tax installments to be paid by the builder in accordance with rule 13U.

13U. Schedule of Installments for builders.-The Chief Commissioner shall, upon online application of the builder as prescribed in rule 13V, online issue the schedule of equal Installments on four-monthly basis within thirty days of the application:

Provided that the duration of payment of tax shall commence from the date of issuance of NOC to sell till the date of completion of building or building project in the approval plan:

Provided further that provisions of this rule shall not apply if a builder opts to pay the entire tax liability in lump sum.

CHAPTER - II DETERMINATION OF INCOME - HEADS OF INCOME

13V. Application for payment of tax in installments by builders.- The builder shall online apply for the payment of installments under this Chapter through the following application form.-

**APPLICATION FOR ISSUANCE OF SCHEDULE OF INSTALLMENTS FOR
PAYMENT OF TAX U/S 7C OF THE INCOME TAX ORDINANCE 2001 READ WITH
RULE 13T OF INCOME TAX RULES 2002**

1.	Name of the builder/ owner	
2.	NTN/CNIC (Attach copy of CNIC)	
3.	Name of project/ building (if any)	
4.	Address of the project/ building	
5.	Phone Number	
6.	Mobile Number of builder/ owner	
7.	Email Address	
8.	Name(s), CNIC and office Address(es) of Member(s)/ Director(s) of AOP/ Company (if applicable)	
9.	Category	(commercial/ residential & offices/ dual)
10.	Commercial area of building	
11.	Residential area of building	
12.	Total Area of building	
13.	Total final tax liability	Rs.
14.	Less Tax paid @ 5% on approval	Rs.
15.	Balance tax to be paid in equal four monthly installments	Rs.
16.	Duration of the project in months	Months
17.	Amount of each installment	Rs.
	i. 1st installment due on - / - / -	Rs.
	ii. 2nd installment due on - / - / -	Rs.
	iii. 3rd installment due on - / - / -	Rs.
	iv. 4th installment due on - / - / -	Rs.
	v.	Rs.
	vii.	
	viii.	

I, _____, CNIC No _____, in my capacity as self/Member/Member of Association of Persons/Director or Principal officer of company do solemnly declare that to the best of my knowledge and belief, the information given in this application under Rule 4 of Part II of the Tenth Schedule to the Income Tax Ordinance 2001 is/ are correct and complete in accordance with the provisions of section 99B read with Tenth Schedule to the Income Tax Ordinance, 2001.

CHAPTER - II DETERMINATION OF INCOME - HEADS OF INCOME

Name _____
CINC _____
Date _____

13W. Responsibilities of the Authority.- The authority shall have the following responsibilities.-

- (i) No approval plan shall be issued unless five percent of the tax has been collected under rule 3;
- (ii) The authority shall inform the Chief Commissioner Inland Revenue in writing about approval of new land development and building construction plans on quarterly basis;
- (iii) The authority shall suspend or cancel the building plan on the written request of the Chief Commissioner in case of default in payment of installments under these rules;

Provided that the Chief Commissioner shall take this action after consultation with Association of Builders and Developers (ABAD); and

- (iv) The authority may revoke suspension or cancellation under sub-rule (ii) above as the case may be, on the written direction of the Chief Commissioner.

13X. Responsibility of the Inspector General of Registration.- (1) No transfer of building or built up units to the buyers shall be effected unless the builder shall furnish NOC from the Chief Commissioner for payment of tax dues.

(2) Provisions of sub-rule (1) shall not apply in case a builder pays one hundred and fifty percent of the tax liability to be computed in accordance with Division VIIIA of the First Schedule.

(3) For the purpose of sub-rule (2) the Inspector General of Registration shall be responsible to collect and deposit tax and all the provisions of section 161 shall apply mutatis mutandis.

13Y. Responsibilities of the Builder.- (1) The builder shall online furnish to the Chief Commissioner a copy of approved construction plan and evidence of tax collection by the authority on the last day of the calendar month in which such plan is approved or within a week if the approved plan is issued in the last week of the calendar month.

(2) The builder shall furnish to the Chief Commissioner a copy of tax payment challan within one week of due date of each installment as per the schedule of payment of installment.

(3) The builder shall be tax withholding agent on making any payment for which tax withholding is provided under Chapter X and Chapter XII to the Ordinance which includes payment on account of salaries to employees, supplies, services and contract.

CHAPTER - II DETERMINATION OF INCOME - HEADS OF INCOME

13Z. Adjustment of withholding taxes by builders.- The builder shall not be entitled to claim adjustment of withholding tax collected or deducted under any other head during the year.

13ZA. Mode and manner for payment and collection of tax from land developers.— (1) Every land developer after obtaining the approval of the development plan or a revised development plan from the authority and NOC to sell, shall online furnish copy of development plan and evidence of payment of five percent tax to the Chief Commissioner along with computation of final tax liability on the basis of area proposed to be developed as per rates provided in Division VIIIB of the First Schedule to the Ordinance. The Chief Commissioner shall, after being satisfied that the rates are applied correctly and after making such inquiry as he thinks fit, online issue a schedule of advance tax installments to be paid by the developer in accordance with rule 13ZB.

13ZB. Schedule of Installments for land developers.- The Chief Commissioner shall, upon online application of the developer as prescribed in rule 13ZC, online issue the schedule of equal Installments on four monthly basis within thirty days of the application:

Provided that the duration of payment of tax shall commence from the date of issuance of NOC to sell till the date of completion of development project:

Provided further that provisions of this rule shall not apply if a developer opts to pay the entire tax liability in lump sum.

13ZC. Application for payment of tax in installments by land developers: The developer shall online apply for payment of installments under these rules through the following form.-

CHAPTER - II DETERMINATION OF INCOME - HEADS OF INCOME

APPLICATION FOR ISSUANCE OF SCHEDULE OF INSTALLMENTS FOR PAYMENT OF TAX U/S 7D OF THE INCOME TAX ORDINANCE 2001 READ WITH RULE 13ZA OF INCOME TAX RULES 2002

1.	Name of the developer	
2.	NTN/CNIC (Attach copy of CNIC)	
3.	Name of land development project (if any)	
4.	Address of the project	
5.	Phone Number	
6.	Mobile Number of developer/ owner	
7.	Email Address	
8.	Name(s), CNIC and office Address(es) of Member(s)/ Director(s) of AOP/ Company (if applicable)	
9.	Category	(commercial/ residential & offices/ dual)
10.	Commercial area of project (Sq. yd)	
11.	Residential area of project (Sq. yd)	
12.	Total development area	
13.	Final tax liability	Rs.
14.	Less Tax paid @ 5% on approval	Rs.
15.	Balance tax to be paid in equal four monthly installments	Rs.
16.	Duration of the project in months	Months
17.	Amount of each installment	Rs.
	i. 1st installment due on - / - / -	Rs.
	ii. 2nd installment due on - / - / -	Rs.
	iii. 3rd installment due on - / - / -	Rs.
	iv. 4th installment due on - / - / -	Rs.
	v.	Rs.
	vii.	
	viii.	

I, _____, CNIC No _____, in my capacity as self/Member/Director of Association of Persons/ company do solemnly declare that to the best of my knowledge and belief, the information given in this application under Rule 4 of Part II of the Tenth Schedule to the Income Tax Ordinance 2001 is/ are correct and complete in accordance with the provisions of section 99B read with Tenth Schedule to the Income Tax Ordinance, 2001.

Name _____
CINC _____
Date _____

CHAPTER - II DETERMINATION OF INCOME - HEADS OF INCOME

13ZD. Responsibilities of the Authority.- The authority shall have the following responsibilities:

- (i) No approval of development plan shall be issued unless five percent of the tax has been collected under Rule 13W;
- (ii) The authority shall suspend or cancel the development plan on the written request of the Chief Commissioner in case of default in payment of installments under these rules:

Provided that the Chief Commissioner shall take this action after consultation with ABAD.

- (iii) The authority may revoke suspension or cancellation made under rule (ii) above as the case may be, on the written request of the Chief Commissioner.

13ZE. Responsibility of the Inspector General of Registration.- (1) No transfer of developed units to the buyers shall be effected unless the developer shall furnish NOC from the Chief Commissioner for payment of tax dues.

(2) Provisions of sub-rule (1) shall not apply in case a developer pays one hundred and fifty percent of the tax liability to be computed in accordance with rule Division VIII B of the Ordinance.

(3) For the purpose of sub-rule (2) the Inspector General of Registration shall be responsible to collect and deposit tax and all the provisions of section 161 shall apply mutatis mutandis.

13ZF. Responsibilities of the Land Developer.- (1) The developer shall online furnish to the Chief Commissioner a copy of approved land development plan and evidence of tax collection by it on the last day of the calendar month in which such plan is approved or within a week if the approved plan is issued in the last week of the calendar month.

(2) The developer shall furnish to the Chief Commissioner a copy of tax payment challan within one week of due date of each installment as per the schedule of payment of installment.

(3) The developer shall be tax withholding agent on making any payment for which tax withholding is provided under Chapter X and Chapter XII to the Ordinance which includes payment on account of salaries to employees, supplies, services and contract, etc.

13ZG. Adjustment of withholding taxes.- The land developer shall not be entitled to claim adjustment of withholding tax collected or deducted under any other head during the year.

13ZH. General provisions for builders and developers.- (1) If a building or a land development project is stopped by any court order or by any government

CHAPTER - II DETERMINATION OF INCOME - HEADS OF INCOME

agency during construction of building or land development, the payment of subsequent installments shall stand suspended till the time the stay order is vacated.

(2) If a builder or a developer fails to pay three consecutive installments within due time, the Commissioner shall issue a notice in writing and copy thereof shall be endorsed to Association of Builders and Developers ABAD. In case of no response or unsatisfactory reply, a committee of three members shall be constituted by the Chief Commissioner which shall comprise one member from ABAD. The committee shall decide further action as deemed fit.

(3) If a building or land development project is disposed off during construction or development, the seller and purchaser shall jointly submit an application in writing to the Chief Commissioner. The Chief Commissioner shall issue NOC after satisfying that the due tax was paid by the seller. The remaining installments of tax shall be paid by the successor-purchaser of the under construction building or under developed land on the terms of schedule of payment of installments issued earlier to the predecessor-seller by the Chief Commissioner. There after all the provisions of this schedule shall apply to the successor-purchaser.

(4) The Commissioner shall exercise all powers relating to provisions containing recovery of tax, advance tax, default surcharge and prosecution as laid down in Chapter X and in Chapter XII to the Ordinance, in case of any default of non-payment, short payment or late payment of any tax collected or collectable, paid or payable under this Chapter.]

CHAPTER - III

PERSONS

14. Resident individual.-

- (1) This rule applies for the purposes of section 82, which provides for the determination of persons as resident individuals.
- (2) The following rules apply for the purposes ¹[] of section 82 in computing the number of days an individual is present in Pakistan in a tax year, namely:-
 - (a) subject to clause (c), a part of a day that an individual is present in Pakistan (including the day of arrival in, and the day of departure from, Pakistan) counts as a whole day of such presence;
 - (b) the following days in which an individual is wholly or partly present in Pakistan count as a whole day of such presence, namely:-
 - (i) a public holiday;
 - (ii) a day of leave, including sick leave;
 - (iii) a day that the individual's activity in Pakistan is interrupted because of a strike, lock-out or delay in receipt of supplies; or
 - (iv) a holiday spent by the individual in Pakistan before, during or after any activity in Pakistan; and
 - (c) a day or part of a day where an individual is in Pakistan solely by reason of being in transit between two different places outside Pakistan does not count as a day present in Pakistan.

¹ Words "of clauses (a) and (b)" omitted by SRO 392(I)/2009, dated May 19, 2009.

CHAPTER – IV**TAXATION OF FOREIGN-SOURCE INCOME OF RESIDENTS****15. Foreign income tax.-**

- (1) This rule applies for the purposes of sections 102 and 103, which provide resident persons with relief from international double taxation.
- (2) A foreign levy is a foreign income tax if the following conditions are satisfied, namely:-
 - (a) the levy is a tax; and
 - (b) the tax is substantially equivalent to the income tax imposed by the Ordinance.
- (3) Subject to sub-rules (4) and (5), a foreign levy is a tax if it requires a compulsory payment pursuant to the authority of the foreign country to levy taxes.
- (4) A penalty, fine, interest or similar obligation is not a tax for the purposes of this Chapter.
- (5) A foreign levy is not a tax to the extent that a person subject to the levy receives or is entitled to receive, directly or indirectly, a specific economic benefit from the foreign country in exchange for the payment pursuant to the levy.
- (6) Subject to sub-rule (7), a foreign tax is substantially equivalent to the income tax imposed under the Ordinance if the following conditions are satisfied, namely:-
 - (a) the tax is imposed in respect of events that would result in the derivation of income, gains or profits under the Ordinance;
 - (b) the taxable amount is computed under the foreign tax by subtracting from gross receipts any significant expenses and the depreciation or amortization of capital costs attributable to such receipts, or, where the tax is imposed under the foreign law or any other basis; and
 - (c) Dividend or interest income earned from foreign source, on being so taken by the FBR, may be treated to have same character for the resident person, as it has under the Ordinance.
- (7) The following foreign taxes are substantially equivalent to the income tax imposed under the Ordinance, namely:-

- (a) a withholding tax imposed on dividends, gross receipts payable to non-resident persons as final tax; or
 - (b) tax on wages by withholding imposed as a final tax on salary.
- (8) In this rule,
- (a) "economic benefit" includes -
 - (i) any property;
 - (ii) any service;
 - (iii) any fee or other payment;
 - (iv) any right to use, acquire or extract natural resources, patents, or other property owned or controlled by the foreign country; or
 - (v) any reduction or discharge ¹[of] or a contractual obligation; and
 - (b) "specific economic benefit" means an economic benefit that is not available on substantially the same terms -
 - (i) all persons subject to the income tax generally imposed by the foreign country; or
 - (ii) if there is no generally imposed income tax, the population of the country in general.

16. Foreign tax credit.-

- (1) This rule applies for the purposes of section 103, which provides for the foreign tax credit.
- (2) A resident taxpayer claiming a foreign tax credit for a tax year shall submit an application for the credit with the taxpayer's return of income for that year.
- (3) An application for a foreign tax credit shall be in the form as specified in Part I of the First Schedule to these rules.
- (4) Subject to sub-rule (5), an application for a foreign tax credit shall be accompanied by the following ² [documents], namely:-

¹ Substituted for "or" by SRO 392(I)/2009, dated May 19, 2009.

² Substituted for "documentation" by SRO 392(I)/2009, dated May 19, 2009.

- (5)
 - (a) where the tax has been deducted at source, a declaration by the payer of the income tax has been deducted and a certified copy of the receipt that the payer has received from the foreign tax authority for the deducted tax; or
 - (b) in any other case, the original or a certified copy of the receipt that the taxpayer has received from the foreign tax authority for the tax paid.
- (6) Where a resident taxpayer cannot obtain evidence of the deduction of tax from the payer of income as required under clause (a) of sub-rule (4), the Commissioner may accept such secondary evidence of the deduction as is determined by him.

CHAPTER - V

TAXATION OF NON-RESIDENTS

17. Application of chapter.-

The rules in this Chapter apply for the purposes of sub-clause (ii) of clause (a) of sub-section (2) of section 237, which provides for the making of rules concerning the manner in, and procedure by, which the income, profits and gains chargeable to tax, and the tax payable thereon, under the Ordinance shall be determined in the case of non-resident persons.

18. Income from royalty.-

The income of a non-resident person by way of ¹[royalty] received from a resident person or a permanent establishment in Pakistan of a non-resident person shall be-

- (a) in the case a royalty received in pursuance of an agreement made before the 8th day of March, 1980, or an agreement made on or after the said date the proposal in respect of which was approved by the Government before the said date, the gross amount of the royalty less the deductions allowed under section 40; or
- (b) in any other case, to which sub-section (2) of section 6 does not apply, the gross amount of the royalty less ²[than] the following expenditure-
 - (i) any expenditure incurred In Pakistan to earn such royalty, wherever paid;
 - (ii) any expenditure incurred outside Pakistan in pursuance of such agreement not exceeding ten percent of gross amount of royalty.³ []
- (c) in the case of royalty received in pursuance to any other agreement, the gross amount of the royalty less the following expenditures only, namely:-
 - (i) any expenditure incurred in Pakistan in earning such income;
 - (ii) any expenditure incurred in Pakistan in respect of any work done in pursuance of such agreement; and

¹ Substituted for "royalties" by SRO 392(I)/2009, dated May 19, 2009.

² Substituted for "then" by SRO 392(I)/2009, dated May 19, 2009.

³ Proviso omitted by SRO 590(I)/2004, dated July 07, 2004.

- (iii) any expenditure incurred outside Pakistan in respect of any work done in pursuance of such agreement not exceeding ten percent of the gross amount of such royalty.
- (d) The provisions of ¹[clauses] (b) and (c) would not apply where, royalty is covered by section 169.

¹ Substituted for "sub-rule" by SRO 392(I)/2009, dated May 19, 2009.

19. ¹[Fee] for technical services.-

(1) The income of a non-resident person by way of ¹[fee] for technical services received from a resident person or a permanent establishment in Pakistan of a non-resident person shall be-

- (a) in the case of ¹[fee] received in pursuance of an agreement made before the 8th day of March, 1980, or an agreement made on or after the said date the proposal in respect of which was approved by the Government before the said date only in such cases, the gross amount of the ¹[fee] less the deductions allowed under section 40;
- (b) in the case of ¹[fee] received in pursuance of an agreement made on or after 8th day of March, 1980 but before the 4th day of May, 1981, the gross amount of the [fee] less the deductions allowed under section 40 with a maximum total deduction equal to twenty percent of the gross amount of such ¹[fee]; or
- (c) in any other case to which sub-section (2) of ²[Section 6] of the Income Tax Ordinance, 2001 does not apply, the gross amount of ³[fee for technical services] less the following perquisites:-
 - (i) any expenditure incurred in Pakistan to earn such ³[fee for technical services], wherever paid.
 - (ii) any expenditure incurred outside Pakistan in pursuance of such agreement not exceeding ten percent of gross amount of ³[fee for technical services].

Provided that a non-resident may opt for taxation under section 6 of Income Tax Ordinance, 2001, by filing a written declaration option within 15 days of the commencement of contract. Such option shall remain operative till completion of the said contract.

- (d) ⁴[clause] (c) would not apply where the fee for technical service is covered by the provisions of section 169.

¹ Substituted for "fees" by SRO 392(I)/2009, dated May 19, 2009.

² Substituted for "Section 5" by SRO 392(I)/2009, dated May 19, 2009.

³ Substituted for "royalty" by SRO 392(I)/2009, dated May 19, 2009.

⁴ Substituted for "sub-rule" by SRO 392(I)/2009, dated May 19, 2009.

¹
[19A. Certificate of residence.-

- (1) Where any person, resident in Pakistan, seeks to obtain a certificate of residence from the Competent Authority of Pakistan for its presentation before the tax authorities of another country with which Pakistan has signed an Agreement for the Avoidance of Double Taxation and Fiscal Evasion, for the purposes of obtaining tax credit or fiscal relief, the person may submit an application in this behalf in the Form prescribed below, namely:-

¹ Rules 19A, 19B and 19C inserted by SRO 619(I)/2006, dated June 08, 2006. Later Rules 19A to 19D have been inserted by SRO 714(I)/2006, dated July 05, 2006. Due to confusion both sets of Rules 19A to 19C have been reproduced till clarification by CBR.

**Form of Application
for Obtaining Certificate of Residence**

To

The Competent Authority of Pakistan,
¹Federal Board of Revenue,
 Constitution Avenue,
 Islamabad.

Sir,

Whereas the applicant is resident in Pakistan by way of [INSERT: Entitlement to residence.....] in respect of the Tax year ending on [INSERT: Date.....], and has earned [INSERT: Type/Head of Income.....] income in [INSERT: Name of the country.....], during the period [INSERT: From.....To.....]; and that Pakistan and [INSERT: Name of the other country] have signed an Agreement for the Avoidance of Double Taxation and Fiscal Evasion, dated....., which entitles the applicant to a reduced tax rate/tax credit/tax sparing credit/fiscal relief in [INSERT: Name of the Country.....] upon issuance of a Certificate of Residence by the Competent Authority of Pakistan, for which purpose, all relevant particulars are as under, namely:-

1	Name / Nomenclature of the Applicant	
2	Whether Individual, AOP or Company?	
3	CNIC / Registration / Incorporation No	
4	Address in Pakistan	
5	Telephone / Fax / email address	
6	National Tax Number	
7	Income declared for the Tax Year	
8	Name and Designation of Tax Authority to which the Certificate is intended for presentation	
9	Type (s) / Particulars of Income Earned	

¹ The words "Central Board of Revenue" substituted by the Finance Act, 2007

Copies of the following documents in support of our claim are enclosed, namely:-

- (1) Proof of earning of income in the foreign country;
- (2) Copy of NIC;
- (3) Copy of NTN Certificate;
- (4) Copy of the Certificate of Incorporation (if applicable) ; and
- (5) Copy of the Income Tax Return for the latest tax year (if applicable)

Verification

I _____ son/daughter/wife of Mr. _____ solemnly declare that to the best of my knowledge and belief, the information given in this application and the annexures and statements accompanying it is correct.

2. I also declare that to the best of my knowledge, I have not concealed any fact or information which could be relevant for deciding my application.

3. I further declare that I am making this application in my capacity as (designation) and that I am competent to make this application and verify it.

Date _____ Signatures: _____

Place _____ Name: _____

- (2) The Competent Authority of Pakistan, if required, shall cause to call for a report from the Commissioner concerned.
- (3) The Commissioner after verifying all the relevant facts as stated by the taxpayer in the application shall submit his report ¹[within thirty days of the receipt of the application by him from the ²Federal Board of Revenue].
- (4) The Competent Authority of Pakistan shall decide upon the request of the taxpayer and issue the Certificate of Residence as per the Form prescribed below within forty five days of the submitting of the application, namely:-

¹ Substituted for "within fifteen days of the receipt of the application by him" by SRO 392(I)/2009, dated May 19, 2009.

² The words "Central Board of Revenue" substituted by the Finance Act, 2007

**Form of Certificate of Residence
Issued by the Competent Authority**

[CERTIFICATE OF RESIDENCE FOR PRESENTATION
BEFORE THE TAX AUTHORITIES OF
IN RESPECT OF THE TAX YEAR]

I certify that Mr./Ms/M/s. _____ is resident in Pakistan by way of _____, and subject to taxes in Pakistan covered in the Agreement for Avoidance of Double Taxation and Fiscal Evasion between Pakistan and _____. The particulars relating to his/ her/ its person and the details of economic activities and tax paid in Pakistan during the Tax Year are as under, namely:-

- (a) Name: _____
- (b) Address: _____
- (i) Residence: _____
- (ii) Office: _____
- (c) Telephone: (Res)_____ (Off) _____ (Fax)_____
- (d) CNIC/Registration/Passport No.

--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--
- (e) National Tax No.

--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--
- (f) Personal Status _____
- (g) Main Sources of Income: _____
- (h) Other Source(s) of Income: _____
- (i) Income Declared/Assessed for the Tax year: _____
- (j) Total Tax Paid/Payable for the Tax year: _____
- (k) LTU/ RTO: _____

THE COMPETENT AUTHORITY

¹[Member (Inland Revenue) or his Authorized Officer]

¹ Substituted for "Member (Direct Taxes)" by SRO 725(I)/2011, dated July 28, 2011.

- (5) In respect of each tax year a separate application shall be submitted by the taxpayer, and a separate Certificate shall be issued by the Competent Authority of Pakistan ¹[for his Authorized Officer].
- (6) In case the Competent Authority of Pakistan decides not to issue a Certificate of Residence, it shall communicate its decision along with reasons of rejection thereof to the applicant taxpayer within forty five days of the submitting of the application.

19B. Certificate of payment of tax in Pakistan.-

- (1) Where any person, non-resident in Pakistan, seeks to obtain a certificate of payment of tax in Pakistan by way of deduction, collection or otherwise, which attains finality or which is a final tax under any provision of the Ordinance or that of the Agreement for the Avoidance of Double Taxation and Fiscal Evasion between Pakistan and the country of residence of the applicant taxpayer, for presentation before the tax authorities of the country of his residence, the person may submit an application to the Competent Authority of Pakistan in the Form prescribed below, namely:-

**Form of application for obtaining certificate
of payment of tax in Pakistan**

To

The Competent Authority of Pakistan,
²Federal Board of Revenue,
Constitution Avenue,
Islamabad.

Sir,

Whereas the applicant was resident in [INSERT: Name of the country.....], by reason of [INSERT: Nationality, Incorporation, Situs of Management.....], and thus non-resident in Pakistan in respect of the Tax year ending on; and that Pakistan and [INSERT: Name of the country of residence.....] have signed an Agreement for the Avoidance of Double Taxation and Fiscal Evasion dated....., which entitles the applicant to a tax credit / fiscal relief in respect of the tax paid in Pakistan, in the country of his residence upon issuance of a Certificate of Payment of Tax Paid by the Competent Authority of Pakistan. The relevant details in this regard are as under, namely:-

¹ Words inserted by SRO 725(I)/2011, dated July 28, 2011.

² The words "Central Board of Revenue" substituted by the Finance Act, 2007

CHAPTER - V TAXATION OF NON-RESIDENTS

1.	Name / Nomenclature of the Applicant	
2.	Country of Residence	
3.	Personal Status [Individual, AOP, Company]	
4.	Tax Year	
5.	Particulars / details of income earned in Pakistan	
6.	Total tax paid in Pakistan for the Tax Year	
7.	Has any appeal been filed against the imposition of the aforementioned tax in Pakistan?	
8.	Have you applied or intend to apply for the refund or adjustment of the tax paid against demand of any other year?	

Copies of the following documents in support of our claim are enclosed, namely:-

- (i) Proof of income earned in Pakistan
- (ii) Proof of tax paid in Pakistan
- (iii) Proof of residence in the other country

Verification

I _____ son/daughter/wife of Mr. _____ solemnly declare that to the best of my knowledge and belief, the information given in this application and the annexures and statements accompanying it is correct.

2. I also declare that to the best of my knowledge, I have not concealed any fact or information which could be relevant for deciding my application.

3. I further declare that I am making this application in my capacity as (designation) and that I am competent to make this application and verify it.

Date _____ Signatures: _____

Place _____ Name: _____

- (2) The Competent Authority of Pakistan, if required, shall cause to call for a report from the Commissioner concerned.